Part 1 Introduction and Overview

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GLOBALIZATION

Learning Objectives

After reading this chapter, you will be able to:

LO1-1 Understand what is meant by the term *globalization.*
LO1-2 Recognize the main drivers of globalization.
LO1-3 Describe the changing nature of the global economy.
LO1-4 Explain the main arguments in the debate over the impact of globalization.
LO1-5 Understand how the process of globalization is creating opportunities and challenges for management practice.

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opening case

APPLE MOVES PRODUCTION OUT OF CHINA

In its early days, Apple usually didn't look beyond its own backyard to manufacture its devices. A few years after Apple started to make the Macintosh computer back in 1983, Steve Jobs bragged that it was "a machine that was made in America." By 2004, however, Apple had largely turned to foreign manufacturing. The shift to offshore manufacturing reached its peak with the iconic iPhone, which Apple first introduced in 2007. All iPhones contain hundreds of parts, an estimated 90 percent of which are manufactured abroad. Advanced microprocessors come from Germany and Taiwan, memory chips from Korea and Japan, display panels and circuitry from Korea and Taiwan, additional chip sets from Europe, and rare metals from Africa and Asia. Apple's major subcontractor, the Taiwanese multinational firm Foxconn, performs final assembly in China.

When explaining its initial decision to assemble the iPhone in China, Apple cites a number of factors. While labor costs are lower in China, labor costs only account for a small proportion of the total value of its products and are not the main driver of location decisions. Far more important, according to Apple, was the ability of its Chinese subcontractors to respond very quickly to requests from Apple to scale production up and down. Another critical advantage of China for Apple was that it was much easier to hire engineers there. Apple calculated that about 8,700 industrial engineers were needed to oversee and guide the 200,000 assembly-line workers involved in manufacturing the first models of the iPhone. The company had estimated that it would take as long as nine months to find that many engineers in the United States. In China it took 15 days.

Also important: Many of the factories providing components for the iPhone are located close to Foxconn's assembly plant in China. As one executive noted, "The entire supply chain is in China. You need a thousand rubber gaskets? That's the factory next door. You need a million screws? That factory is a block away. You need a screw made a little bit different? That will take three hours." This "ecosystem" of subcontractors and their suppliers is a major advantage of locating in China.

After 2016, however, Apple started to look for ways to reduce its dependence on China. The initial reason was the decision by the Trump administration to place a 25 percent tariff on imports from China. This signaled the beginning of a trade war between the world's two largest economies, one that has continued under the Biden administration. With the costs and economic risks associated with production in China increasing, Apple decided it was time to start diversifying its supply chain. The company worked with key subcontractors such as Foxconn to open up additional production facilities in India and Brazil for the iPhone and in Vietnam for the iPad, Apple Watch, and AirPod.

In addition to the ongoing trade war, rising geopolitical tensions following the Russian invasion of Ukraine in February 2022 (and China's tacit support for Russia), convinced Apple that the geopolitical risks associated with concentrating production in China were also increasing. One concern has been that, at some point, China would try to retake Taiwan, which the Chinese government has long viewed as a rebel province. Such action could draw the United States into a military conflict with China, a scenario that, while remote, would potentially be devastating for Apple.

The COVID-19 pandemic raised additional questions about the wisdom of concentrating production in China. China's zero-COVID policy resulted in factory workers being locked into factories and onsite dormitories in an attempt to stop the virus from spreading. In late 2022, these stringent restrictions led to widespread protests. Workers climbed over fences to escape containment and headed back to their hometowns, leaving companies like Foxconn short staffed. In response to continued protests, the Chinese government abruptly abandoned its zero-COVID policy. However, in the immediate aftermath of this decision, things got worse, not better, as the rapid spread of the virus resulted in large numbers of workers calling in sick, and production at many factories slumped.

In response to these events, in early 2023 Apple seemed to be accelerating its diversification of production away from China. News reports suggest that Apple is now moving some MacBook production out of China and into Vietnam. Apple has also signaled its intention to keep expanding iPhone production in India, with a long-term goal to ship 40 to 45 percent of iPhones from India, up from 15 percent today.

However, it will be very difficult for Apple to move the bulk of its production out of China any time soon. China offers a unique combination of a large pool of skilled and unskilled labor; a well-established ecosystem of factories that supply major Apple subcontractors like Foxconn; and focused government support for producers, including tax breaks and other incentives that are granted to Foxconn and its suppliers. For these reasons, while India is taking a larger share of iPhone production, and Vietnam seems set to expand MacBook production, manufacturing associated with new-product introduction is likely to remain in China for the time being, primarily because only the Chinese production ecosystem has the skill set required to execute the large-scale rollout of high-quality new products, such as new versions of the iPhone.

Sources: C. Duhigg and K. Bradsher, "How U.S. Lost Out on iPhone Work," *The New York Times*, January 22, 2012; Y. Jie and A. Tilley, "Apple Makes Plans to Move Production Out of China," *The Wall Street Journal*, December 3, 2022; C. Ciaccia, "Apple Is Reportedly Moving Some MacBook Production Out of China and into Vietnam," *Seeking Alpha*, December 20, 2022; C. Ting-Fang, "Apple to Start Making MacBooks in Vietnam by Mid 2023," *Nikkei Asia*, December 20, 2022.

Introduction

Over the past five decades, a fundamental shift has been occurring in the world economy. We have been moving away from a world in which national economies were relatively self-contained entities, isolated from each other by barriers to cross-border trade and investment; by distance, time zones, and language; and by national differences in government regulation, culture, and business systems. We have moved toward a world in which barriers to cross-border trade and investment have declined; perceived distance is shrinking due to advances in transportation and telecommunications technology; material culture is starting to look similar the world over; and national economies are merging into an interdependent, integrated global economic system. The process by which this transformation is occurring is commonly referred to as *globalization*.

At the same time, events in the last 10 years have raised some significant questions about the inevitability of the globalization process. The exit of the United Kingdom from the European Union (Brexit), the renegotiation of the North American Free Trade Agreement (NAFTA), and trade disputes between the United States and several of its major trading partners, including most notably China, have all contributed to uncertainty about the future of globalization. The COVID pandemic added to this uncertainty by exposing how easily lean global supply chains could be disrupted by unforeseen events. To complicate matters, Russia's invasion of Ukraine, and China's slide toward greater authoritarianism and nationalism under the leadership of Xi Jinping, have raised the specter of a multipolar world in which global agreements to promote cross-border trade and investment will be limited by geopolitical realities. Recent events have made the West hesitant to become too dependent upon China as a source for manufactured goods. For its part, an increasingly assertive China is seeking to reduce its dependence on Western technology and is positioning itself as the epicenter of a new economic order that stands in opposition to Western leadership. Although the world seems unlikely to pull back significantly from globalization, there is no doubt that the benefits of globalization are more in dispute now than at any time in the last half century, while the potential for geopolitical conflict is greater than at any time since the end of the Cold War. This is a new reality, albeit perhaps a temporary one, but it is a reality to which the international business community will have to adjust.

The Opening Case illustrates how this shifting landscape has affected one U.S. enterprise: Apple. For two decades, Apple has relied upon subcontractors in China to assemble the vast majority of its products, including most notably the iPhone and MacBook product lines. However, in response to rising trade tensions, increased geopolitical risks, and the fallout from the COVID-19 pandemic, Apple has started to shift some production out of China and into India and Vietnam. While China is still an economically efficient location for Apple to assemble its products, the company has decided to diversify its supply chain to include other countries as a hedge against the increased economic and geopolitical risks associated with reliance on China. Apple is not alone; many other companies are making similar adjustments.

One of the goals of this book is to give the reader a much greater understanding of the issues here and explain how business policy is affected by changes in the global environment within which firms compete. As suggested by the story of Apple, geopolitics has an important influence on business strategy decisions for the international enterprise. Proponents of increased globalization argue that cross-cultural engagement, and cross-border trade and investment, have benefited us all and that returning to a more isolationist or nationalistic perspective will have a negative impact upon economic growth. On the other hand, those who argue for returning to a nationalistic perspective, as Donald Trump did with his "America First" policy, want their countries to be more self-sufficient, to have greater control over economic activity within their borders, and to be able to set the rules by which they trade with other nations. In other words, they want to increase national sovereignty with regard to a number of issues, ranging from trade policy to immigration to environmental regulations. They are opposed to globalization as it has unfolded over the last 50 years. We will touch on many aspects of this debate throughout this text's 17 integrated chapters, always with the purpose of clarifying the implications for international business.

Irrespective of the current policy debate, the fact remains that globalization has and will probably continue to have an impact on almost everything we do. The impact of globalization is evident in our everyday lives. Consider this plausible scenario that describes today's reality: An American businesswoman wearing clothes that were designed in New York and manufactured in Bangladesh might drive to work in a sports utility vehicle (SUV) designed in Stuttgart, Germany, and assembled in Leipzig, Germany, and Bratislava, Slovakia, by Porsche from components sourced from parts suppliers worldwide, which in turn were created from Korean steel, Malaysian rubber, and Chinese plastics. She may have filled her car with gasoline at a Shell service station owned by a British-Dutch multinational company. The gasoline could have been made from oil pumped out of a well off the coast of West Africa by a French oil company that transported it to the United States in a ship owned by a Greek shipping line. While driving to work, she might talk to her stockbroker (using a hands-free, in-car speaker) on an Apple iPhone that was designed in California and assembled in China, using chip sets produced in Japan and Europe, glass made by Corning in Kentucky, and memory chips from South Korea. Perhaps on her way, she might tell the stockbroker to purchase shares in Lenovo, a multinational Chinese PC manufacturer whose operational headquarters is in North Carolina and whose shares are listed on the New York Stock Exchange.

This is the world in which we live. In many cases, we simply do not know, or perhaps even care, where a product was designed and where it was made. A few decades ago, "Made in the USA," "Made in Germany," or "Made in Italy" had strong meaning and referred to something. The United States often stood for quality; Germany stood for sophisticated engineering; Italy stood for design flair. Now the country of origin for a product has given way to, for example, "Made by BMW" or "Made by Apple," and the company, not the country, is the quality assurance platform. This is because the products are often global products, where the processes of design, component part manufacture, and final assembly are located in different places around the world.

Despite recent countertrends, the reality is that we live in a world where the volume of goods, services, and investments crossing national borders has expanded at a faster rate than world output for more than half a century—a trend that continued in the early 2020s. It is a world in which international institutions such as the World Trade Organization and gatherings of leaders from the world's most powerful economies have long worked together to lower barriers to cross-border trade and investment. The symbols of material culture and popular culture are increasingly global, from Coca-Cola and Starbucks, to Sony PlayStation, Facebook, Netflix video streaming service, IKEA stores, and Apple iPads and iPhones. On the other hand, vigorous and vocal groups continue to protest against globalization, which they blame for a list of ills from unemployment in developed nations to environmental degradation and the Westernization or Americanization of local cultures. Some of these protesters come from environmental groups, which have been around for some time, but more recently they have also come from nationalistic groups focused on their countries being more sovereign.

For businesses, the globalization process creates many opportunities. Firms can expand their revenues by selling around the world and/or reduce their costs by producing in nations where key inputs, including labor, are less expensive. Until very recently, generally favorable political and economic trends have allowed businesses both large and small, from both advanced nations and developing nations, to expand internationally. As globalization has unfolded, it has transformed industries and created anxiety among those who believed their jobs were protected from foreign competition. Moreover, advances in technology, lower transportation costs, and the rise of skilled workers in developing countries have created a world in which many services no longer need to be performed where they are delivered. An MRI scan undertaken in a hospital in Massachusetts might be diagnosed by a radiologist located in India, your inquiry to an American telephone company might be routed to a call center located in Costa Rica, the software that runs on your phone might be updated overnight with a patch that was written by software programmers in Taiwan, and your American tax returns might be completed by tax specialists located in the Philippines and then signed off on by your American accountant. As best-selling author Thomas Friedman has argued, the world is becoming "flat."[1] People living in developed nations no longer have the playing field tilted in their favor. Increasingly, enterprising individuals based in India, China, or Brazil have the same opportunities to better themselves as those living in western Europe, the United States, or Canada.

In this text, we will take a close look at these issues and many more. We will explore how changes in regulations governing international trade and investment, when coupled with changes in political systems and technology, have dramatically altered the competitive playing field confronting many businesses. We will discuss the resulting opportunities and threats, and we will review the strategies that managers can pursue to exploit the opportunities and counter the threats. We will consider whether globalization benefits or harms national economies. We will also look at what economic theory has to say about the outsourcing of manufacturing and service jobs to places such as India and China and look at the benefits and costs of outsourcing, not just to business firms and their employees but to entire economies. First, though, we need to get a better overview of the nature and process of globalization, and that is the function of this first chapter.

What Is Globalization?

LO1-1

Understand what is meant by the term *globalization*.

As used in this text, the term **globalization** refers to the shift toward a more integrated and interdependent world economy. Globalization has several facets, including the globalization of markets and the globalization of production.

globalization
Trend away from distinct national economic units and toward one huge global market.

THE GLOBALIZATION OF MARKETS

The **globalization of markets** refers to the merging of historically distinct and separate national markets into one huge global marketplace. Falling barriers to cross-border trade and investment have made it easier to sell internationally. Scholars have argued for some time that the tastes and preferences of consumers in different nations are beginning to converge on some global norm, thereby helping create a global market.[2] Consumer products such as Coca-Cola soft drinks, Sony video games, McDonald's hamburgers, Starbucks coffee, IKEA furniture, and Apple iPhones are frequently held up as prototypical examples of this trend. The firms that produce these products are more than just benefactors of this trend; they are also facilitators of it. By offering the same basic product worldwide, they help create a global market.

globalization of markets
Moving away from an economic system in which national markets are distinct entities, isolated by trade barriers and barriers of distance, time, and culture, and toward a system in which national markets are merging into one global market.

A company does not have to be the size of these multinational giants to facilitate—and benefit from—the globalization of markets. In the United States, for example, more than 300,000 small- and medium-sized firms with fewer than 500 employees accounts for 98 percent of the companies that export, according to the International Trade Administration. More generally, exports from small and medium-sized companies account for 33 percent of the value of U.S. exports of manufactured goods.[3] Typical of these is B&S Aircraft Alloys, a New York company whose exports account for 40 percent of its $8 million annual revenues.[4] The situation is similar in several other nations. For example, in Germany, a staggering 98 percent of small and midsize companies have exposure to international markets, via either exports or international production. Since 2009, China has been the world's largest exporter. In 2021, China sold $3.4 trillion worth of goods and services to the rest of the world.

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Despite the global prevalence of Apple phones, McDonald's hamburgers, Starbucks coffee, and IKEA stores, for example, we should not push too far the view that national markets are giving way to the global market. As we shall see in later chapters, significant differences still exist among national markets along many relevant dimensions, including consumer tastes and preferences, distribution channels, culturally embedded value systems, business systems, and legal regulations. Uber, for example, the fast-growing ride-for-hire service, has discovered that it needs to refine its entry strategy in many foreign cities to take differences in the regulatory regime into account. Such differences frequently require companies to customize marketing strategies, product features, and operating practices to best match conditions in a particular country.

The most global of markets are not typically markets for consumer products—where national differences in tastes and preferences can still be important enough to act as a brake on globalization. The most global markets are for industrial goods and materials that serve universal needs the world over. These include markets for commodities such as aluminum, oil, and wheat; for industrial products such as microprocessors, DRAMs (computer memory chips), and commercial jet aircraft; for computer software; and for financial assets, from U.S. Treasury bills to Eurobonds, and futures on the Nikkei index or the euro. That being said, it is increasingly evident that many newer high-technology consumer products, such as Apple's iPhone, are being successfully sold the same way the world over.

In many global markets, the same firms frequently confront each other as competitors in nation after nation. Coca-Cola's rivalry with PepsiCo is a global one, as are the rivalries between Ford and Toyota; Boeing and Airbus; Caterpillar and Komatsu in earthmoving equipment; General Electric Aerospace and Rolls-Royce in aero engines; Sony, Nintendo, and Microsoft in video-game consoles; and Samsung and Apple in smartphones. If a firm moves into a nation not currently served by its rivals, many of those rivals are sure to follow to prevent their competitor from gaining an advantage.[5] As firms follow each other around the world, they bring with them many of the assets that served them well in other national markets—their products, operating strategies, marketing strategies, and brand names—creating some homogeneity across markets. Thus, greater uniformity replaces diversity. In an increasing number of industries, talk of "the German market," "the U.S. market," "the Brazilian market," or "the Japanese market" is no longer meaningful; for many firms, only the global market exists.

Did You Know?

Did you know that trade as a percentage of GDP for the U.S. has nearly tripled since 1960?

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THE GLOBALIZATION OF PRODUCTION

globalization of production
Trend by individual firms to disperse parts of their productive processes to different locations around the globe to take advantage of differences in cost and quality of factors of production.

factors of production
Inputs into the productive process of a firm, including labor, management, land, capital, and technological know-how.

The **globalization of production** refers to the sourcing of goods and services from locations around the globe to take advantage of national differences in the cost and quality of **factors of production** (such as labor, energy, land, and capital). By doing this, companies hope to increase their productivity, or improve the quality and functionality of their product offering, thereby allowing them to compete more effectively. For example, Boeing has made extensive use of outsourcing to foreign suppliers. Consider Boeing's 777, first introduced in 1995: Eight Japanese suppliers make parts for the fuselage, doors, and wings; a supplier in Singapore makes the doors for the nose landing gear; three suppliers in Italy manufacture wing flaps; and so on.[6] In total, some 30 percent by value of the 777 is built by foreign companies. And for its most recent jet airliner, the 787, Boeing has pushed this trend even further; some 65 percent of the total value of the aircraft is outsourced to foreign companies, 35 percent of which goes to three major Japanese companies.

Part of Boeing's rationale for outsourcing so much production to foreign suppliers is that these suppliers are the best in the world at their particular activity. A global web of suppliers yields a better final product, which enhances the chances of Boeing winning a greater share of total orders for aircraft than its global rival, Airbus. Boeing also outsources some production to foreign countries to increase the chance that it will win significant orders from airlines based in each of those countries. For a more detailed look at the globalization of production at Boeing, see the accompanying Management Focus.

MANAGEMENT FOCUS

Boeing's Global Production System

Executives at the Boeing Corporation, America's largest exporter, say that building a large commercial jet aircraft such as the 787 Dreamliner involves bringing together more than a million parts in flying formation. Half a century ago, when the early models of Boeing's venerable 737 and 747 jets were rolling off the company's Seattle-area production lines, foreign suppliers accounted for only 5 percent of those parts, on average. Boeing was vertically integrated and manufactured many of the major components that went into the planes. The largest parts produced by outside suppliers were the jet engines, where two of the three suppliers were U.S. companies. The lone foreign engine manufacturer was the British company Rolls-Royce.

Fast-forward to the modern era, and things look very different. In the case of Boeing's super-efficient 787 Dreamliner, 50 outside suppliers spread around the world account for 65 percent of the value of the aircraft. Italian firm Alenia Aeronautica makes the center fuselage and horizontal stabilizer. Kawasaki of Japan makes part of the forward fuselage and the fixed trailing edge of the wing. French firm Messier-Dowty makes the aircraft's landing gear. German firm Diehl Luftahrt Elektronik supplies the main cabin lighting. Sweden's Saab Aerostructures makes the access doors. Japanese company Jamco makes parts for the lavatories, flight deck interiors, and galleys. Mitsubishi Heavy Industries of Japan makes the wings. KAA of Korea makes the wing tips; and so on.

Why the change? One reason is that 80 percent of Boeing's customers are foreign airlines, and for the company to sell into those nations, it benefits to be giving business to those nations. The trend started in 1974 when Mitsubishi of Japan was given contracts to produce inboard wing flaps for the 747. The Japanese reciprocated by placing big orders for Boeing jets. A second rationale was to disperse component part production to those suppliers who are the best in the world at their particular activity. Over the years, for example, Mitsubishi has acquired considerable expertise in the manufacture of wings, so it was logical for Boeing to use Mitsubishi to make the wings for the 787. Similarly, the 787 is the first commercial jet aircraft to be made almost entirely out of carbon fiber, so Boeing tapped Japan's Toray Industries, a world-class expert in sturdy but light carbon-fiber composites, to supply materials for the fuselage. A third reason for the extensive outsourcing on the 787 was that Boeing wanted to unburden itself of some of the risks and costs associated with developing production facilities for the 787. By outsourcing, it pushed some of those risks and costs onto suppliers, who had to undertake major investments in capacity to ramp up production for the 787.

So what did Boeing retain for itself? Engineering design, marketing and sales, and final assembly are done at its Everett plant north of Seattle, all activities where Boeing maintains it is the best in the world. Of major component parts, Boeing made only the tail fin and wing-to-body fairing (which attaches the wings to the fuselage of the plane). Everything else was outsourced.

As the 787 moved through development, it became clear that Boeing had pushed the outsourcing paradigm too far. Coordinating a globally dispersed production system this extensive turned out to be very challenging. Parts turned up late, some parts didn't "snap together" the way Boeing had envisioned, and several suppliers ran into engineering problems that slowed down the entire production process. As a consequence, the date for delivery of the first jet was pushed back more than four years, and Boeing had to take millions of dollars in penalties for late deliveries. The problems at one supplier, Vought Aircraft in North Carolina, were so severe that Boeing ultimately agreed to acquire the company and bring its production in-house. Vought was co-owned by Alenia of Italy and made parts of the main fuselage.

There are now signs that Boeing is rethinking some of its global outsourcing policy. For its most recent wide-bodied jet, a new version of its popular wide-bodied 777 aircraft, the 777X (scheduled for introduction in 2025), Boeing has brought wing production back in-house. Like the 787, the wings for the 777X will be carbon fiber. Mitsubishi and Kawasaki of Japan produce much of the wing structure for the 787 and for the original version of the 777. However, Japan's airlines have recently been placing large orders with Airbus, breaking with their traditional allegiance to Boeing. This seems to have given Boeing an opening to bring wing production back in-house. Boeing executives also note that Boeing has lost much of its expertise in wing production over the last 20 years due to outsourcing, and bringing it back in-house for new carbon-fiber wings might enable Boeing to regain these important core skills and strengthen the company's competitive position.

Sources: M. Ehrenfreund, "The Economic Reality Behind the Boeing Plane Trump Showed Off," *The Washington Post*, February 17, 2017; K. Epstein and J. Crown, "Globalization Bites Boeing," *Bloomberg Businessweek*, March 12, 2008; H. Mallick, "Out of Control Outsourcing Ruined Boeing's Beautiful Dreamliner," *The Star*, February 25, 2013; P. Kavilanz, "Dreamliner: Where in the World Its Parts Come From," *CNN Money*, January 18, 2013; S. Dubois, "Boeing's Dreamliner Mess: Simply Inevitable?" *CNN Money*, January 22, 2013; A. Scott and T. Kelly, "Boeing's Loss of a $9.5 Billion Deal Could Bring Jobs Back to the U.S.," *Business Insider*, October 14, 2013.

Early outsourcing efforts were primarily confined to manufacturing activities, such as those undertaken by Boeing and Apple. Increasingly, however, companies are taking advantage of modern communications technology over the Internet to outsource service activities to low-cost producers in other nations. The Internet has allowed hospitals to outsource some radiology work to India, where images from MRI scans and the like are read at night while U.S. physicians sleep; the results are ready for them in the morning. Many software companies, including Microsoft, now use Indian engineers to perform test functions on software designed in the United States. The time difference allows Indian engineers to run debugging tests on software written in the United States while U.S. engineers sleep and then transmit the corrected code back to the United States over secure Internet connections so it is ready for U.S. engineers to work on the following day. Dispersing value creation activities in this way can compress the time and lower the costs required to develop new software programs. Other companies, from computer makers to banks, are outsourcing customer service functions, such as customer call centers, to developing nations where labor is cheaper. In another example from health care, workers in the Philippines transcribe American medical files (such as audio files from doctors seeking approval from insurance companies for performing a procedure). Some estimates suggest that outsourcing of many administrative procedures in health care, such as customer service and claims processing, could reduce health care costs in the United States by more than $100 billion.

The political scientist Robert Reich has argued that as a consequence of the trend exemplified by companies such as Boeing, Apple, and Microsoft, in many cases it is becoming irrelevant to talk about U.S. products, Japanese products, German products, or Korean products. Increasingly, according to Reich, the outsourcing of productive activities to different suppliers results in the creation of products that are global in nature—that is, "global products."[7] But as with the globalization of markets, companies must be careful not to push the globalization of production too far. As we will see in later chapters, substantial impediments still make it difficult for firms to achieve the optimal dispersion of their productive activities to locations around the globe. These impediments include formal and informal barriers to trade between countries, barriers to foreign direct investment, transportation costs, issues associated with economic and political risk, and the sheer managerial challenge of coordinating a globally dispersed supply chain (an issue for Boeing with the 787, as discussed in the Management Focus). For example, government regulations ultimately limit the ability of hospitals to outsource the process of interpreting MRI scans to developing nations where radiologists are cheaper.

Nevertheless, the globalization of markets and production will probably continue. Modern firms are important actors in this trend, their actions fostering increased globalization. These firms, however, are merely responding in an efficient manner to changing conditions in their operating environment—as well they should.

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The Emergence of Global Institutions

General Agreement on Tariffs and Trade (GATT) International treaty that committed signatories to lowering barriers to the free flow of goods across national borders and led to the WTO.

As markets globalize and an increasing proportion of business activity transcends national borders, institutions are needed to help manage, regulate, and police the global marketplace and to promote the establishment of multinational treaties to govern the global business system. Over the past 75 years, a number of important global institutions have been created to help perform these functions, including the **General Agreement on Tariffs and Trade (GATT)** and its successor, the World Trade Organization; the International Monetary Fund and its sister institution, the World Bank; and the United Nations. All these institutions were created by voluntary agreement between individual nation-states, and their functions are enshrined in international treaties.

The **World Trade Organization (WTO)**, like the GATT before it, is primarily responsible for policing the world trading system and making sure nation-states adhere to the rules laid down in trade treaties signed by WTO member states. As of 2023, 164 nations that collectively accounted for 98 percent of world trade were WTO members, thereby giving the organization substantial scope and influence. The WTO is also responsible for facilitating the establishment of additional multinational agreements among WTO member states. Over its entire history, and that of the GATT before it, the WTO has promoted the lowering of barriers to cross-border trade and investment. In doing so, the WTO has been the instrument of its member states, which have sought to create a more open global business system unencumbered by barriers to trade and investment between countries. Without an institution such as the WTO, the globalization of markets and production is unlikely to have proceeded as far as it has. However, as we shall see in this chapter and in Chapter 7 when we look closely at the WTO, critics charge that the organization is usurping the national sovereignty of individual nation-states. Recently its influence has diminished as political actors in many nations push back against what they see as overreach by the institution.

World Trade Organization (WTO)
Organization that succeeded the General Agreement on Tariffs and Trade (GATT) as a result of the successful completion of the Uruguay Round of GATT negotiations.

The **International Monetary Fund (IMF)** and the **World Bank** were both created in 1944 by 44 nations that met at Bretton Woods, New Hampshire. The IMF was established to maintain order in the international monetary system; the World Bank was set up to promote economic development. In the eight decades since their creation, both institutions have emerged as significant players in the global economy. The World Bank is the less controversial of the two sister institutions. It has focused on making low-interest loans to cash-strapped governments in poor nations that wish to undertake significant infrastructure investments (such as building dams or roads).

International Monetary Fund (IMF)
International institution set up to maintain order in the international monetary system.

The IMF is often seen as the lender of last resort to nation-states whose economies are in turmoil and whose currencies are losing value against those of other nations. In the post–Cold War era, for example, the IMF has lent money to the governments of troubled states, including Argentina, Egypt, Indonesia, Mexico, Russia, South Korea, Thailand, and Turkey. The IMF took a proactive role in helping countries cope with some of the effects of the 2008–2009 global financial crisis. IMF loans come with strings attached, however; in return for loans, the IMF requires nation-states to adopt specific economic policies aimed at returning their troubled economies to stability and growth. These requirements have sparked controversy. Some critics charge that the IMF's policy recommendations are often inappropriate; others maintain that by telling national governments what economic policies they must adopt, the IMF, like the WTO, is usurping the sovereignty of nation-states. We will look at the debate over the role of the IMF in Chapter 11.

World Bank
International institution set up to promote general economic development in the world's poorer nations.

The **United Nations (UN)** was established in October 24, 1945, by 51 countries committed to preserving peace through international cooperation and collective security. Today, nearly every nation in the world belongs to the United Nations; membership now totals 193 countries. When states become members of the United Nations, they agree to accept the obligations of the UN Charter, an international treaty that establishes basic principles of international relations. According to the charter, the UN has four purposes: to maintain international peace and security, to develop friendly relations among nations, to cooperate in solving international problems and promoting respect for human rights, and to be a center for harmonizing the actions of nations. Although the UN is perhaps best known for its peacekeeping role, one of the organization's central mandates is the promotion of higher standards of living, full employment, and conditions of economic and social progress and development—all issues that are central to the creation of a vibrant global economy. As much as 70 percent of the work of the UN system is devoted to accomplishing this mandate. To do so, the UN works closely with other international institutions such as the World Bank. Guiding that work is the belief that eradicating poverty and improving the well-being of people everywhere are necessary steps in creating conditions for lasting world peace.[8]

United Nations (UN)
International organization made up of 193 countries headquartered in New York City, formed in 1945 to promote peace, security, and cooperation.

Another institution in the news is the **Group of Twenty (G20)**. Established in 1999, the G20 comprises the finance ministers and central bank governors of the 19 largest economies in the world, plus representatives from the European Union and the European Central Bank. Collectively, the G20 represents 90 percent of global GDP and 80 percent of international global trade. Originally established to formulate a coordinated policy response to financial crises in developing nations, in 2008 and 2009 the G20 became the forum through which major nations attempted to launch a coordinated policy response to the global financial crisis that started in the United States and then rapidly spread around the world, ushering in the first serious global economic recession since 1981.

Group of Twenty (G20)
International organization, established in 1999, that comprises the finance ministers and central bank governors of the 19 largest economies in the world, plus representatives from the European Union and the European Central Bank.

Drivers of Globalization

LO1-2

Recognize the main drivers of globalization.

Two macro factors underlie the trend toward greater globalization.[9] The first is the decline in barriers to the free flow of goods, services, and capital that has occurred in recent decades. The second factor is technological change, particularly the dramatic developments in communication, information processing, and transportation technologies.

DECLINING TRADE AND INVESTMENT BARRIERS

international trade
A firm exports goods or services to consumers in another country.

foreign direct investment (FDI)
Direct investment in business operations in a foreign country.

During the 1920s and 1930s, many of the world's nation-states erected formidable barriers to international trade and foreign direct investment. **International trade** occurs when a firm exports goods or services to consumers in another country. **Foreign direct investment (FDI)** occurs when a firm invests resources in business activities outside its home country. Many of the barriers to international trade took the form of high tariffs on imports of manufactured goods. The typical aim of such tariffs was to protect domestic industries from foreign competition. One consequence, however, was retaliatory trade policies, with countries progressively raising trade barriers against each other. Ultimately, this tit-for-tat behavior depressed world demand and contributed to the Great Depression of the 1930s.

Having learned from this experience, the advanced industrial nations of the West committed themselves after World War II to progressively reducing barriers to the free flow of goods, services, and capital among nations.[10] This goal was enshrined in the General Agreement on Tariffs and Trade. Under the umbrella of GATT, eight rounds of negotiations among member states worked to lower barriers to the free flow of goods and services. The first round of negotiations went into effect in 1948. The most recent negotiations to be completed, known as the Uruguay Round, were finalized in December 1993. The Uruguay Round further reduced trade barriers; extended GATT to cover services as well as manufactured goods; provided enhanced protection for patents, trademarks, and copyrights; and established the World Trade Organization to police the international trading system.[11] Table 1.1 summarizes the impact of GATT agreements on

TABLE 1.1 Average Tariff Rates on Manufactured Products as Percentage of Value

	1913	1950	1990	2020
France	21%	18%	5.9%	1.6%
Germany	20	26	5.9	1.6
Italy	18	25	5.9	1.6
Japan	30	—	3.3	1.1
Netherlands	5	11	5.9	1.6
Sweden	20	9	5.9	1.6
United Kingdom	—	23	5.9	1.8
United States	44	14	5.7	2.9

Sources: The 1913–1990 data are from "Who Wants to Be a Giant?" *The Economist: A Survey of the Multinationals*, June 24, 1995, pp. 3–4. The 2020 data are from the World Bank Database, accessed January 2023.

average tariff rates for *manufactured* goods among several developed nations. As can be seen, average tariff rates have fallen significantly since 1950. By 2020 they stood at under 3 percent. Comparable tariff rates in 2020 for China were about 5 percent. This represents a sharp decline from 16.2 percent for China in 2000. It is important to note that in addition to the global efforts of the GATT and WTO, trade barriers have also been reduced by bilateral and regional agreements between two or more nations. For example, the European Union has reduced trade barriers among its member states, the North American Free Trade Agreement (and its successor, the United States-Mexico-Canada Agreement) reduced trade barriers among the United States, Mexico, and Canada; and a free trade agreement between the United States and South Korea has reduced trade barriers between those two nations. In the early 1990s, less than 50 such agreements were in place. Today, there are around 300 of them.

Figure 1.1 charts the growth in the value of world merchandise trade and world production between 1960 and 2022 (the most recent year for which data are available). The data are adjusted to take out the effect of inflation and are indexed at a value of 100 in 1960 to allow for an "apples to apples" comparison. What you can see from the chart is that between 1960 and 2022, the value of the world economy (adjusted for inflation) increased 9.5 times, while the value of international trade in merchandised goods increased 24.6 times. This actually underestimates the growth in trade, because trade in services has also been growing rapidly in recent decades. By 2022, the value of world trade in merchandised goods was $25 trillion, while the value of trade in services was $7 trillion. We should note that the decline in global trade and output in 2020 that can be seen in Figure 1.1 was due primarily to the economic impact of the COVID-19 global pandemic. Trade flows recovered strongly in 2021 and 2022.

Not only has trade in goods and services been growing faster than world output for decades, so has the value of foreign direct investment, in part due to reductions in barriers limiting FDI between countries. According to UN data, around 80 percent of the 2,250 changes made to national laws governing foreign direct investment between 2003 and 2020 have created a more favorable environment. Partly due to such liberalization, the value of FDI has grown significantly over the last 30 years. In 1990, about $244 billion in foreign investment was made by enterprises. By 2019, that figure had increased to $1.5 trillion, before falling to $780 billion in 2020 due to the COVID-19 pandemic. However, FDI rebounded to reach $1.71 trillion in 2021, before falling back to $1.3 trillion in 2022. As a result of sustained cross-border investment, the sales of foreign affiliates of multinational corporations reached $33 trillion, over $10 trillion more than the value of international trade in 2020, and these affiliates employed some 84 million people.[12]

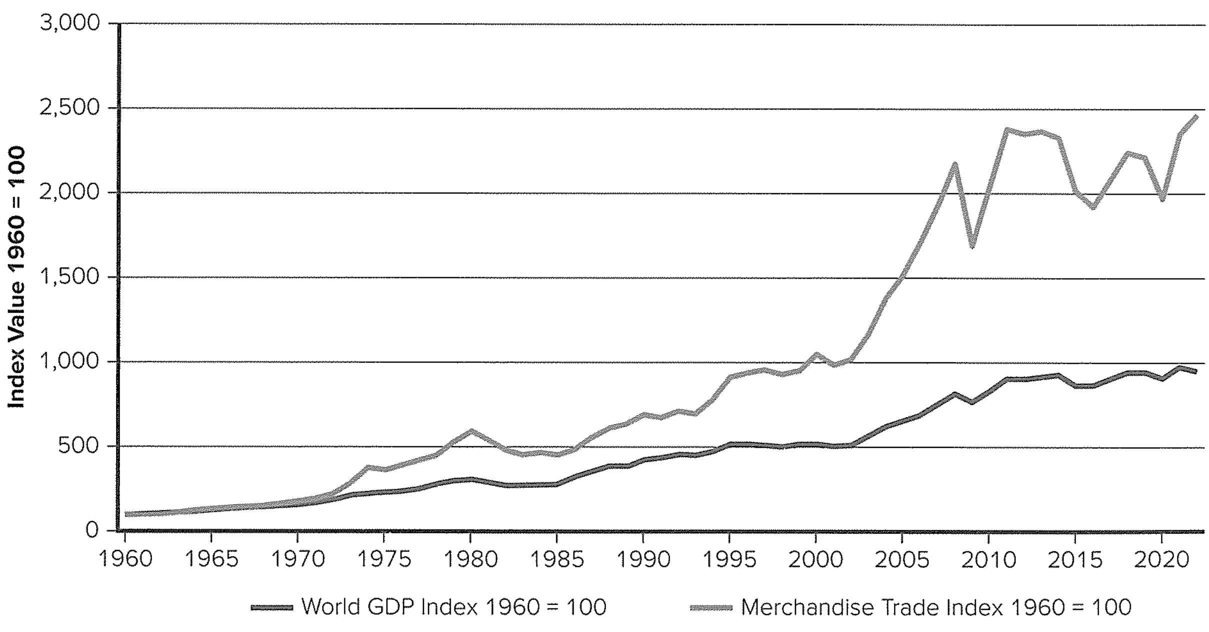
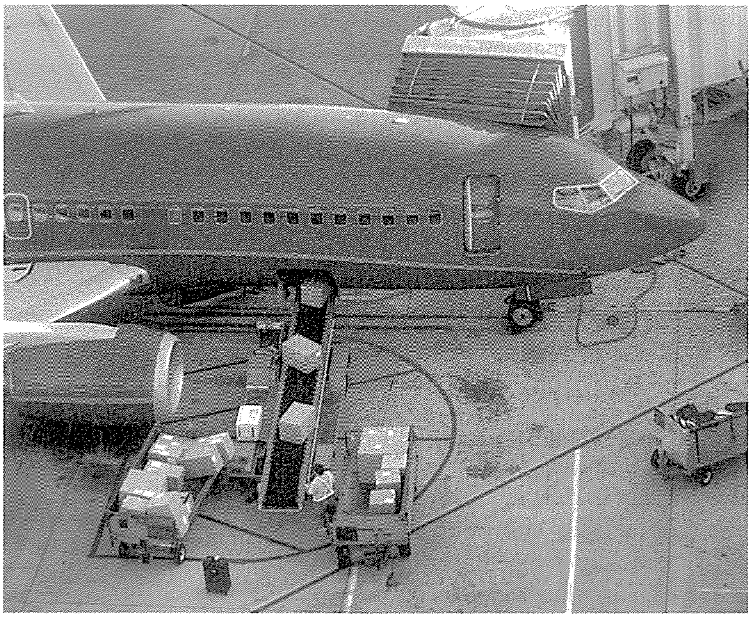


FIGURE 1.1 Value of world merchandised trade and world production 1960–2022.

Sources: World Bank, 2023; World Trade Organization, 2023; United Nations, 2023.



BCFC/Shutterstock

The fact that the volume of world trade has been growing faster than world GDP implies several things. (1) More firms are doing what Boeing does with the 777 and 787: dispersing parts of their production process to different locations around the globe to drive down production costs and increase product quality. (2) The economies of the world's nation-states are becoming ever more intertwined. As trade expands, nations are becoming increasingly dependent on each other for important goods and services. (3) The world has become significantly wealthier in the last four decades. (4) The implication is that rising trade is the engine that has helped pull the global economy along.

The globalization of markets and production—and the resulting growth of world trade, foreign direct investment, and imports—all imply that firms are finding their home markets under attack from foreign competitors. This is true in China, where U.S. companies such as Apple, General Motors, and Starbucks have expanded their presence. It is true in the United States, where Japanese automobile firms have taken market share away from General Motors and Ford over the past four decades, and it is true in Europe, where the once-dominant Dutch company Philips has seen its market share in the consumer electronics industry taken by Japan's Panasonic and Sony and Korea's Samsung and LG. The growing integration of the world economy into a single, huge marketplace is increasing the intensity of competition in a range of manufacturing and service industries.

However, declining barriers to cross-border trade and investment cannot be taken for granted. As we shall see in subsequent chapters, demands for "protection" from foreign competitors are still often heard in countries around the world, including the United States. Although a return to the restrictive trade policies of the 1920s and 1930s seems unlikely, it is not clear whether the political majority in the industrialized world favors further reductions in trade barriers. The global financial crisis of 2008–2009 and the associated drop in global output that occurred led to more calls for trade barriers to protect jobs at home. The election of Donald Trump to the presidency of the United States in 2017 can be seen as a continuation of this countertrend. Trump ran on a platform advocating higher trade barriers to protect American companies from unfair foreign competition. In 2018, the Trump administration launched a trade war, raising tariff barriers on imports of steel and aluminum from other nations. This was followed by the imposition of steep tariffs on imports from China, which the Chinese have responded to by placing tariffs on imports of American goods into their economy. If trade barriers decline no further, or continue to rise, this may slow the rate of globalization of both markets and production.

The COVID-19 global pandemic has also had a significant impact upon global supply chains, forcing many companies to rethink their globalization strategy. Some companies are reportedly considering moving production closer to home on the theory that local production is less likely to be disrupted by the current pandemic or other adverse events such as future pandemics, war, terrorism, trade disputes, and the like. If this becomes a trend, it too will put a brake upon the globalization process. Indeed, due to the COVID-19 pandemic, world trade slumped by around 8 percent in 2020, although a significant rebound occurred in 2021.

ROLE OF TECHNOLOGICAL CHANGE

The lowering of trade barriers made globalization of markets and production a theoretical possibility. Technological change has made it a tangible reality. Every year that goes by comes with unique and oftentimes major advances in communication, information processing, and transportation technology, including the explosive emergence of the "Internet of Things" (commonly referred to as IoT, this refers to the fact that microprocessor and communications chips are now found in a vast array of devices, from computers to vehicles, machinery, and phones—all of which are linked by persistent wired and wireless connections to the vast network of computer server farms commonly referred to as "the cloud").

Communications

Perhaps the single most important innovation since World War II has been the development of the microprocessor, which enabled the explosive growth of high-power, low-cost computing, vastly increasing the amount of information that can be processed by individuals and firms. The microprocessor also underlies many recent advances in telecommunications technology. Over the past 30 years, global communications have been revolutionized by developments in satellite, optical fiber, wireless technologies, and of course, the Internet, including the IoT. These technologies rely on the microprocessor to encode, transmit, and decode the vast amount of information that flows along these electronic highways. The cost of microprocessors continues to fall, while their power increases (a phenomenon known as **Moore's law**, which predicts that the power of microprocessor technology doubles and its cost of production falls in half every 18 months).[13]

Moore's law
The power of microprocessor technology doubles and its costs of production fall in half every 18 months.

The Internet

The explosive growth of the Internet since 1994, when the first web browser was introduced, has revolutionized communications and commerce. In 1990, fewer than 1 million users were connected to the Internet. By 1995, the figure had risen to 50 million. By 2022, the Internet had almost 5.5 billion users, or 69 percent of the global population.[14] It is no surprise the Internet has developed into the information backbone of the global economy.

In North America alone, e-commerce retail sales were over $1 trillion in 2022 (up from almost nothing in 1998), while global e-commerce sales were close to $5.7 trillion.[15] E-commerce sales grew rapidly in 2020–2022 due to the impact of the COVID-19 pandemic. Viewed globally, the Internet has emerged as an equalizer. It rolls back some of the constraints of location, scale, and time zones.[16] The Internet makes it much easier for buyers and sellers to find each other, wherever they may be located and whatever their size. It allows businesses, both small and large, to expand their global presence at a lower cost than ever before. Just as important, it enables enterprises to coordinate and control a globally dispersed production system in a way that was not possible 30 years ago.

Transportation Technology

In addition to developments in communications technology, several major innovations in transportation technology have occurred since the 1950s. In economic terms, the most important are probably the development of commercial jet aircraft and superfreighters and the introduction of *containerization,* which simplifies transshipment from one mode of transport to another. The advent of commercial jet travel, by reducing the time needed to get from one location to another, has effectively shrunk the globe. In terms of travel time, New York is now "closer" to Tokyo than it was to Philadelphia in the colonial days.

Containerization has revolutionized the transportation business, significantly lowering the costs of shipping goods over long distances. Because the international shipping industry is responsible for carrying about 90 percent of the *volume* of world trade in goods, this has been an extremely important development.[17] Before the advent of containerization, moving goods from one mode of transport to another was very labor intensive, lengthy, and costly. It could take days and several hundred longshore workers to unload a ship and reload goods onto trucks and trains. With the advent of widespread containerization in the 1970s and 1980s, the whole process can now be executed by a handful of longshore workers in a couple of days. As a result of the efficiency gains associated with containerization, transportation costs have plummeted, making it much more economical to ship goods around the globe, thereby helping drive the globalization of markets and production. Between 1920 and 1990, the average ocean freight and port charges per ton of U.S. export and import cargo fell from $95 to $29 (in 1990 dollars).[18] Today, the typical cost of transporting a 20-foot container carrying more than 20 tons of cargo from Asia to Europe is about the same as the economy airfare for a single passenger on the same journey.

Implications for the Globalization of Production

As transportation costs associated with the globalization of production have declined, dispersal of production to geographically separate locations has become more economical. As a result of the technological innovations discussed earlier, the real costs of information processing and communication have fallen dramatically in the past two decades. These developments make it possible for a firm to create and then manage a globally dispersed production system, further facilitating the globalization of production. A worldwide communications network has become essential for many international businesses. For example, Dell uses the Internet to coordinate and control a globally dispersed production system to such an extent that it holds only three days' worth of inventory at its assembly locations. Dell's internet-based system records orders for computer equipment as they are submitted by customers via the company's website and then immediately transmits the resulting orders for components to various suppliers around the world, which have a real-time look at Dell's order flow and can adjust their production schedules accordingly. Given the low cost of airfreight, Dell can use air transportation to speed up the delivery of critical components to meet unanticipated demand shifts without delaying the shipment of final product to consumers. Dell has also used modern communications technology to outsource its customer service operations to India. When U.S. customers call Dell with a service inquiry, they are routed to Bangalore in India, where English-speaking service personnel handle the call.

Implications for the Globalization of Markets

In addition to the globalization of production, technological innovations have facilitated the globalization of markets. Low-cost global communications networks, including those built on top of the Internet, are helping create electronic global marketplaces. As noted earlier, low-cost transportation has made it more economical to ship products around the world, thereby helping create global markets. In addition, low-cost jet travel has resulted in the mass movement of people between countries. This has reduced the cultural distance between countries and is bringing about some convergence of consumer tastes and preferences. At the same time, global communications networks and global media are creating a worldwide culture. U.S. television networks such as CNN and HBO are now received in many countries, Hollywood films and American TV programs are shown the world over, while non-U.S. networks such as the BBC and Al Jazeera also have a global footprint. Streaming services such as Netflix are pushing this development even further, making programming from various nations available worldwide including such hits as Squid game (South Korea), Dark (Germany), and Borgan (Denmark). Such developments, for example, helped British TV program exports to earn a record $1.8 billion in 2021.

In any society, the media are primary conveyors of culture; as global media develop, we must expect the evolution of something akin to a global culture. A logical result of this evolution is the emergence of global markets for consumer products. Clear signs of this are apparent. It is now as easy to find a McDonald's restaurant in Tokyo as it is in New York, to buy an iPad in Rio as it is in Berlin, and to buy Gap jeans in Paris as it is in San Francisco.

Despite these trends, we must be careful not to overemphasize their importance. While modern communications and transportation technologies are ushering in the "global village," significant national differences remain in culture, consumer preferences, and business practices. A firm that ignores differences among countries does so at its peril. We shall stress this point repeatedly throughout this text and elaborate on it in later chapters.

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The Changing Demographics of the Global Economy

LO1-3

Describe the changing nature of the global economy.

Hand in hand with the trend toward globalization has been a fairly dramatic change in the demographics of the global economy over the past decades. Half a century ago, four facts described the demographics of the global economy. The first was U.S. dominance in the world economy and world trade picture. The second was U.S. dominance in world foreign direct investment. Related to this, the third fact was the dominance of large, multinational U.S. firms on the international business scene. The fourth was that roughly half the globe—the centrally planned economies of the communist world—was off-limits to Western international businesses. All four of these facts have changed rapidly.

THE CHANGING WORLD OUTPUT AND WORLD TRADE PICTURE

In the early 1960s, the United States was still, by far, the world's dominant industrial power. In 1960, the United States accounted for 38.3 percent of world output, measured by gross domestic product (GDP). By 2022, the United States accounted for 25.2 percent of world output, with China at 17.8 percent of world output (see Table 1.2). The United States was not the only developed nation to see its relative standing slip. The same occurred to Germany, France, Italy, the United Kingdom, and Canada—these are just a few examples. All were nations that were among the first to industrialize globally.

Of course, the change in the U.S. position was not an absolute decline because the U.S. economy grew significantly between 1960 and 2022 (the economies of Germany, France, Italy, the United Kingdom, and Canada also grew during this time). Rather, it was a relative decline, reflecting the faster economic growth of several other economies, particularly China and several

TABLE 1.2 Changing Demographics of World Output and World Exports

Country	Share of World Output in 1960 (%)	Share of World Output Today (%)	Share of World Exports Today (%)
United States	38.3	25.2	9.6
Germany	8.7	4.0	6.6
France	4.6	2.8	3.2
Italy	3.0	2.0	2.4
United Kingdom	5.3	3.0	3.2
Canada	3.0	2.1	2.3
Japan	3.3	4.2	2.9
China	NA	17.8	11.9

Sources: Output data from World Bank database, 2023; Trade data from WTO statistical database, 2023.

other nations in Asia. For example, as can be seen from Table 1.2, from 1960 to today, China's share of world output increased from a trivial amount to 17.4 percent, making it the world's second-largest economy in terms of its share in world output (the United States is still the largest economy overall). Other countries that markedly increased their share of world output included Japan, India, Thailand, Malaysia, Taiwan, Brazil, and South Korea.

By the end of the 1980s, the United States's position as the world's leading trading nation was being challenged. Over the past 30 years, U.S. dominance in export markets has waned as Japan, Germany, and a number of newly industrialized countries such as South Korea and China have taken a larger share of world exports. During the 1960s, the United States routinely accounted for 20 percent of world exports of goods and services. But as Table 1.2 shows, the U.S. share of world exports of goods and services has slipped to 9.6 percent, significantly behind that of China, which accounted for 14.7 percent of exports of goods and services in 2022.

As emerging economies such as Brazil, Russia, India, and China—coined the BRIC countries—continue to grow, a further relative decline in the share of world output and world exports accounted for by the United States and other long-established developed nations seems likely. By itself, this is not bad. The relative decline of the United States reflects the growing economic development and industrialization of the world economy, as opposed to any absolute decline in the health of the U.S. economy.

Most forecasts now predict a continued rise in the share of world output accounted for by developing nations such as China, India, Russia, Indonesia, Thailand, South Korea, Mexico, and Brazil, and a commensurate decline in the share enjoyed by rich developed countries such as the United Kingdom, Germany, Japan, and the United States. Perhaps more importantly, if current trends continue, the Chinese economy could be larger than that of the United States by 2035, while the economy of India could become the third largest by 2035.[19]

Overall, the World Bank has estimated that today's developing nations may account for more than 60 percent of world economic activity by 2030, while today's rich nations, which currently account for more than 55 percent of world economic activity, may account for only about 38 percent. Forecasts are not always correct, but these suggest that a shift in the economic geography of the world is now under way, although the magnitude of that shift is not totally evident. For international businesses, the implications of this changing economic geography are clear: Many of tomorrow's economic opportunities may be found in the developing nations of the world, and many of tomorrow's most capable competitors will probably also emerge from these regions. A case in point has been the dramatic expansion of India's software sector, which is profiled in the accompanying Country Focus.

COUNTRY FOCUS

India's Software Sector

Some 30 years ago, a number of small software enterprises were established in Bangalore, India. Typical of these enterprises was Infosys Technologies, which was started by seven Indian entrepreneurs with about $1,000 among them. Infosys now has annual revenues of $10.2 billion and some 200,000 employees, but it is just one of more than 100 software companies clustered around Bangalore, which has become the epicenter of India's fast-growing information technology sector. From almost nothing in the mid-1980s, by 2022 this sector was generating export sales of more than $150 billion.

The growth of the Indian software sector is due to four factors. First, the country has an abundant supply of engineering talent. Every year, Indian universities graduate some 400,000 engineers. Second, labor costs in the Indian software sector have historically been low. Back in 2008, the cost to hire an Indian graduate was roughly 12 percent of the cost of hiring an American graduate. Although the pay gap has narrowed significantly since then, costs for good software engineers are still 30–40 percent less than in the United States. Third, many Indians are fluent in English, which makes coordination between Western firms and India easier. Fourth, due to time differences, Indians can work while Americans sleep, creating unique time efficiencies and an around-the-clock work environment.

Initially, Indian software enterprises focused on the low end of the software industry, supplying basic software development and testing services to Western firms. But as the industry has grown in size and sophistication, Indian firms have moved up the market. Today, the leading Indian companies compete directly with the likes of IBM and EDS for large software development projects, business process outsourcing contracts, and information technology consulting services. Over the past 20 years, these markets have boomed, with Indian enterprises capturing a large slice of the pie. One response of Western firms to this emerging competitive threat has been to invest in India to garner the same kind of economic advantages that Indian firms enjoy. IBM, for example, has invested $2 billion in its Indian operations and now has 140,000 employees located there, or about one third of its global workforce, more than in any other country. Microsoft, too, has made major investments in India, including a research and development (R&D) center in Hyderabad that employs 6,500 people and was located there specifically to tap into talented Indian engineers who did not want to move to the United States.

Sources: "Ameerpet, India's Unofficial IT Training Hub," *The Economist,* March 30, 2017; "America's Pain, India's Gain: Outsourcing," *The Economist,* January 11, 2003, p. 59; "The World Is Our Oyster," *The Economist,* October 7, 2006, pp. 9–10; "IBM and Globalization: Hungry Tiger, Dancing Elephant," *The Economist,* April 7, 2007, pp. 67–69; P. Mishra, "New Billing Model May Hit India's Software Exports," *Live Mint,* February 14, 2013; "India's Outsourcing Business: On the Turn," *The Economist,* January 19, 2013; N. Ammachchi, "The Stunning Ten Year Explosion of India's Software Services Export," *Nearshore Americas.com,* accessed January 4, 2023.

THE CHANGING FOREIGN DIRECT INVESTMENT PICTURE

Reflecting the dominance of the United States in the global economy, U.S. firms accounted for 66.3 percent of worldwide foreign direct investment flows in the 1960s. British firms were second, accounting for 10.5 percent, while Japanese firms were a distant eighth, with only 2 percent. The dominance of U.S. firms was so great that books were written about the economic threat posed to Europe by U.S. corporations.[20] Several European governments, most notably France, talked of limiting inward investment by U.S. firms.

However, as the barriers to the free flow of goods, services, and capital fell, and as other countries increased their shares of world output, non-U.S. firms increasingly began to invest across national borders. The motivation for much of this foreign direct investment by non-U.S. firms was the desire to disperse production activities to optimal locations and to build a direct presence in major foreign markets. Thus, beginning in the 1970s, European and Japanese firms began to shift labor-intensive manufacturing operations from their home markets to developing nations where labor costs were lower. In addition, many Japanese firms invested in North America and Europe—often as a hedge against unfavorable currency movements and the possible imposition of trade barriers. For example, Toyota, the Japanese automobile company, rapidly increased its investment in automobile production facilities in the United States and Europe during the late 1980s and 1990s. Toyota executives believed that an increasingly strong Japanese yen would price Japanese automobile exports out of foreign markets; therefore, production in the most important foreign markets, as opposed to exports from Japan, made sense. Toyota also undertook these investments to head off growing political pressures in the United States and Europe to restrict Japanese automobile exports into those markets.

One consequence of these developments is illustrated in Figure 1.2, which shows the change in the outward stock of foreign direct investment as a percentage of GDP for a selection of countries and the world as a whole. (The **outward stock of foreign direct investment [FDI]** refers to the total cumulative value of foreign investments by firms domiciled in a nation outside of that nation's borders.) Figure 1.2 illustrates a striking increase in the outward stock of FDI over time. For example, in 1995 the outward stock of FDI held by U.S. firms was equivalent to 13 percent of U.S. GDP; by 2022, that figure was 32 percent. For the world as a whole, the outward stock of FDI increased from 12 to 44 percent over the same time period. The clear implication is that, increasingly, firms based in a nation depend for their revenues and profits on investments and productive activities in other nations. We live in an increasingly interconnected world.

outward stock of FDI
Total accumulated value of assets owned by firms domiciled in a nation outside of that nation's borders at a given time.

Figure 1.3 illustrates two other important trends—the long-term growth in cross-border flows of foreign direct investment that has occurred since 1990 and the increasing importance of developing nations as the destination of foreign direct investment. Since the 1990s, the amount of

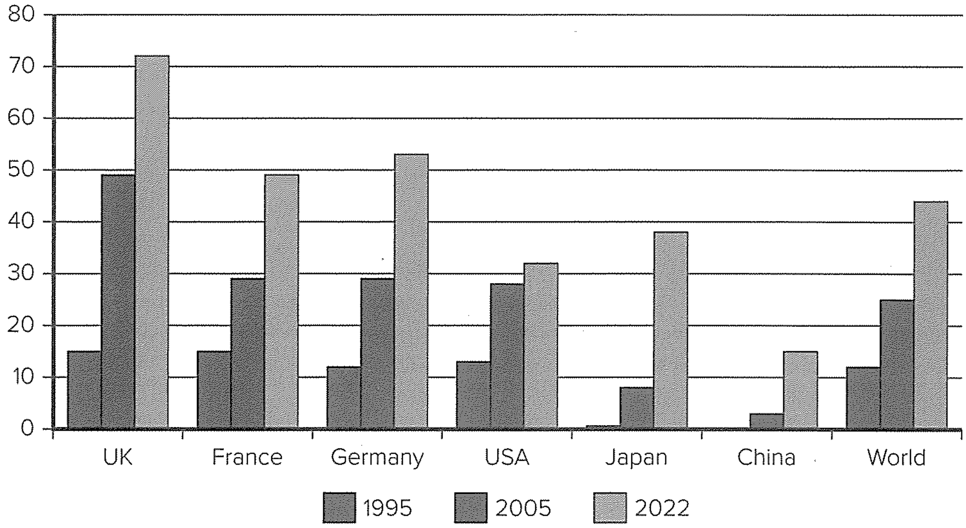

FIGURE 1.2 FDI outward stock as a percentage of GDP.

Sources: OECD data 2023, World Development Indicators 2023, UNCTAD database, 2023.

investment directed at both developed and developing nations increased significantly, a trend that reflects the increasing internationalization of business corporations. The notable slowdown in Figure 1.3 from 2001 to 2004 was associated with a slowdown in global economic activity after the collapse of the financial bubble of the late 1990s and 2000, while the slowdown in 2020 was due to the impact of the COVID-19 pandemic (as shown in Figure 1.3, FDI flows increase again in 2021.) What is clear from Figure 1.3 is that throughout this period, the flow of foreign direct investment into developing nations has increased markedly. Among developing nations, the largest recipient has been mainland China, which received a record $181 billion in inflows in 2021 despite disruptions due to the COVID-19 pandemic and the ongoing trade war between the United States and China. As we shall see later in this text, the sustained flow of foreign investment into developing nations is an important stimulus for economic growth in those countries, which bodes well for the future of countries such as China, Mexico, India, and Brazil—all leading beneficiaries of this trend.

THE CHANGING NATURE OF THE MULTINATIONAL ENTERPRISE

multinational enterprise (MNE)
A firm that owns business operations in more than one country.

A **multinational enterprise (MNE)** is any business that has productive activities in two or more countries. In the last 50 years, two notable trends in the demographics of the multinational enterprise have been (1) the rise of non-U.S. multinationals and (2) the growth of mini-multinationals.

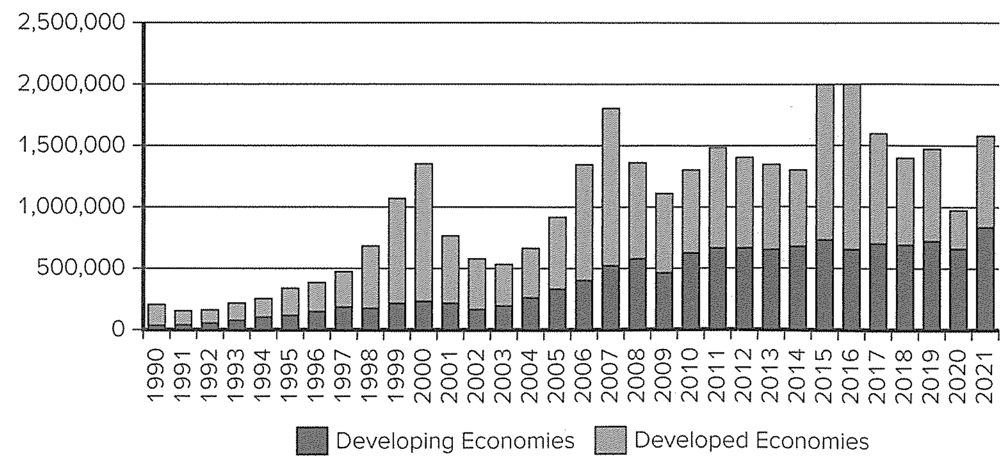

FIGURE 1.3 FDI inflows (in millions of dollars) 1990–2021.

Source: United Nations Conference on Trade and Development, World Investment Report 2022.

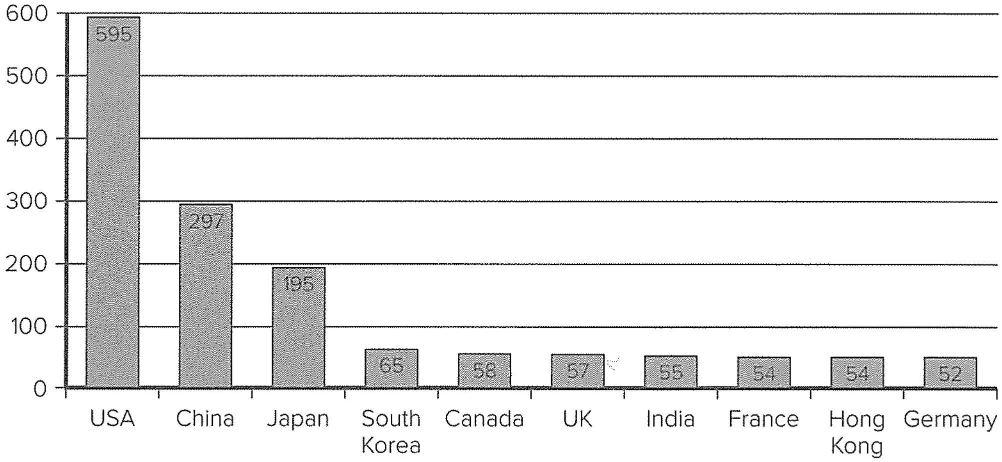

FIGURE 1.4 National share of the largest 2,000 multinational corporations in 2022.
Source: *Forbes* Global 2000 in 2022.

Non-U.S. Multinationals

In the 1960s, global business activity was dominated by large U.S. multinational corporations. With U.S. firms accounting for about two-thirds of foreign direct investment during the 1960s, one would expect most multinationals to be U.S. enterprises. In addition, British, Dutch, and French enterprises figured prominently on lists of the world's largest multinational enterprises. By 2003, when *Forbes* magazine started to compile its annual ranking of the world's top 2,000 multinational enterprises, 776 of the 2,000 firms, or 38.8 percent, were U.S. enterprises. The second-largest source country was Japan with 16.6 percent of the largest multinationals. The United Kingdom accounted for another 6.6 percent. As shown in Figure 1.4, by 2022 the U.S. share had fallen to 30 percent, or 595 firms, and the Japanese share had declined to 10 percent, while Chinese enterprises had emerged to comprise 296 of the total, or 15 percent. Multinationals from India and South Korea have also increased significantly since 2000.

These shifts in the distribution of the top 2000 multinational corporations amongst different nations seem likely to continue. Specifically, we expect that even more firms from developing nations will emerge as important competitors in global markets, further shifting the axis of the world economy away from North America and western Europe and challenging the long dominance of companies from the so-called developed world. One such competitor, Dr. Reddy's Laboratories, is profiled in the accompanying Management Focus.

MANAGEMENT FOCUS

Dr. Reddy's Laboratories Ltd.

Dr. Reddy's Laboratories Ltd (DRL) is an Indian-based pharmaceutical manufacturer enterprise whose primary business is the manufacture and marketing of generic drugs, although it has also invested in the development of proprietary pharmaceuticals. Founded in Hyderabad in 1984 by the company's namesake, Dr. K. Anji Reddy, today DRL is a global company with annual revenues of $2.7 billion in 2022. It currently generates only 20 percent of its total revenue in India. The United States is its largest market accounting for over 50 percent of revenues.

DRL got its start in the 1980s manufacturing active pharmaceutical ingredients (APIs) for other Indian drug manufacturers. India's domestic drug industry was booming at the time thanks to a 1972 Indian law that had abolished patents for medicines in India (this was in violation of international agreements on patents). The law allowed Indian companies to make knockoffs of patented drugs produced by Western and Japanese companies and sell them cheaply in India. Although established drug companies complained, India argued that the law was necessary to provide inexpensive pharmaceuticals to India's vast impoverished population.

DRL soon moved up the value chain into the manufacture of generic versions of drugs that had come off patent. In 1987, the company achieved a crucial milestone when it gained approval from the U.S. Federal Drug Administration (FDA) for its ibuprofen formulation. The approval was coupled with the FDA certification of its Indian factory and allowed the company to start exporting production to the United States. This was followed in 1991 by the company's entry into the Russian market. The low costs of manufacturing in India, coupled with FDA certification, helped DRL build its export markets.

By the mid-1990s, DRL could see a future in which India would have to adhere to international patent laws in order to comply with World Trade Organization rules (India eventually complied with international patent laws in 2004). DRL stopped producing knockoffs of patented drugs for the Indian markets and, instead, focused efforts on expanding its legal generic business in the United States and Russia. In addition, it began to make investments in the drug discovery process, with the ultimate aim of producing patented pharmaceuticals of its own.

In 1997, the U.S. FDA adopted new rules designed to lower the cost of prescription drugs to U.S. patients. These included a six-month exclusivity period for the first company to gain approval to market generic drugs that had just come off patent. DRL jumped on this opportunity and was rewarded when it was the first company to get marketing approval from the FDA for a generic version of the best-selling anti-ulcer medicine, Zantac. With U.S. revenues growing rapidly, DRL listed its stock on the New York Stock Exchange in 2001, the first Asian pharmaceutical company outside of Japan to do so.

During the first two decades of the twenty-first century, DRL continued to expand its portfolio of generics. In addition, the company had some success in developing patented pharmaceuticals, although it remains primarily a low-cost generic manufacturer. Along the way, it has expanded its operations outside of India, establishing research and production facilities in both the United States and Europe. The company has also taken advantage of the exit of many Western pharmaceutical companies from the Russia market following Russia's invasion of Ukraine. The Indian government has adopted a hands-off approach and refused to condemn the invasion. In the months following the Russian invasion of Ukraine, DRL saw its sales into that market surge by 70 percent.

Sources: D. S. Wang, "Dr Reddy is Focused on Product Launches and Divestments to Maintain Ground," *Morningstar*, January 4, 2023; Dr Reddy's, "About Us," accessed January 5, 2023, at https://www.drreddys.com/#about-us; "Dr Reddy's Laboratories," *Reference for Business*, January 27, 2007, https://www.referenceforbusiness.com/history2/57/Dr-Reddy-s-Laboratories-Ltd.html; K. Dunleavy, "After Big Pharma Pulls Back in Russia, Dr Reddy's Says Business Is Booming," *Fierce Pharma*, May 19, 2022.

The Rise of Mini-Multinationals

Another trend in international business has been the growth of small and medium-sized multinationals (mini-multinationals).[21] When people think of international businesses, they tend to think of firms such as ExxonMobil, General Motors, Ford, Panasonic, Procter & Gamble, Sony, and Unilever—large, complex multinational corporations with operations that span the globe. Although most international trade and investment is still conducted by large firms, many medium-sized and small businesses are becoming increasingly involved in international trade and investment. The rise of the Internet is lowering the barriers that small firms face in building international sales.

Consider Lubricating Systems Inc. of Kent, Washington. Lubricating Systems, which manufactures lubricating fluids for machine tools, employs 25 people and generates sales of $6.5 million. It's hardly a large, complex multinational, yet more than $2 million of the company's sales are generated by exports to a score of countries, including Japan, Israel, and the United Arab Emirates. Lubricating Systems has also set up a joint venture with a German company to serve the European market.[22]

Consider also Lixi Inc., a small U.S. manufacturer of industrial X-ray equipment: More than half of Lixi's $24.4 million in revenues comes from exports to Japan.[23] Or take G. W. Barth, a manufacturer of cocoa-bean roasting machinery based in Ludwigsburg, Germany. Employing just 65 people, this small company has captured 70 percent of the global market for cocoa-bean roasting machines.[24] International business is conducted not just by large firms but also by medium-sized and small enterprises.

THE CHANGING WORLD ORDER

Between 1989 and 1991, a series of democratic revolutions swept the communist world. For reasons that are explored in more detail in Chapter 3, in country after country throughout eastern Europe and eventually in the Soviet Union itself, Communist Party governments collapsed. The Soviet Union receded into history, replaced by 15 independent republics. Czechoslovakia divided itself into two states, while Yugoslavia dissolved into a bloody civil war among its successor states (of which there are now seven).

In the decades that followed, many of the former communist nations of Europe and Asia seemed to share a commitment to greater democratic participation in political processes and the adoption of market based economic systems. For half a century, these countries were essentially closed to international businesses. Suddenly they present a host of export and investment opportunities. Three decades later, the economies of many of the former communist states are still developing and continue to offer significant opportunities for international business. However, their continued commitment to democracy and market-based economic systems cannot be taken for granted. Disturbing signs of growing unrest and totalitarian tendencies are seen in several eastern European and central Asian states, including most notably Russia, which has shifted back toward greater state involvement in economic activity and an authoritarian government under the leadership of Vladimir Putin.[25] Moreover, Russia's invasion of Ukraine in February 2022 signaled a sharp break in the world order as it had existed since the early 1990s, raising the specter of a multipolar world in which conflict will again start to limit cross-border business opportunities. Indeed, following the Russian invasion of Ukraine, many international businesses pulled out of Russia, and decades of investment worth billions of dollars were written off in the process. Thus, while the opportunities to be had by doing business in developing nations are significant, the risks associated with growing totalitarian tendencies can no longer be ignored.

In addition the events that swept through Russia and eastern Europe in the 1989–1991 period, quieter revolutions have taken place in China, other countries in Southeast Asia, and Latin America. Their implications for international businesses have been just as profound as the collapse of communism in eastern Europe and Russia. China suppressed its own pro-democracy movement in the bloody Tiananmen Square massacre of 1989 and continues to function as a one-party state under the tight control of the Chinese Communist Party (CCP). On the other hand, beginning in the late 1970s, China progressively implemented greater free market reforms. If what is occurring in China continues for two more decades, China will evolve from a developing nation into an industrial superpower even more rapidly than Japan did. China is already the second largest economy in the world after the United States and is steadily closing the gap with the U.S. It may surpass the United States within the next decade. Current projections suggest that by 2030, this nation of 1.4 billion people could boast an average GDP per capita of about \$23,000, roughly the same as that of Chile or Poland today.

The consequences for international business of these developments have been enormous. On the one hand, China represents both a source for goods and a huge market opportunity. Reflecting this, between 1983 and today, annual foreign direct investment in China (including Hong Kong) increased from less than \$2 billion to \$250 billion annually. On the other hand, China's new firms are proving to be very capable competitors, and in some markets, they have been taking global market share away from Western and Japanese enterprises. Thus, the changes in China have created both opportunities and threats for established international businesses. Complicating matters, under the rule of President Xi Jinping, China has become more authoritarian in recent years. In addition to limiting individual liberties, the CCP has started to tighten its grip on private enterprises, placing CCP cells in them, nominally to protect the interests of workers, but also, many analysts suspect, to make sure that private businesses acts in a manner that the CCP sees as consistent with the goals of the state. If China continues down this road, some of the gains of the last 40 years may be put at risk.

As for Latin America, both democracy and free market reforms have been evident there, too. For decades, most Latin American countries were ruled by dictators, many of whom seemed to view Western international businesses as instruments of imperialist domination. Accordingly, they restricted direct investment by foreign firms. In addition, the poorly managed economies of Latin America were characterized by low growth, high debt, and hyperinflation—all of which discouraged investment by international businesses. Since the late 1980s, much of this has changed. Throughout much of Latin America, debt and inflation are down, governments have sold state-owned enterprises to private investors, foreign investment is welcomed, and the region's economies have expanded. Brazil, Mexico, and Chile have led the way. These changes have increased the attractiveness of Latin America, both as a market for exports and as a site for foreign direct investment. At the same time, given the long history of economic mismanagement in Latin America, there is no guarantee that these favorable trends will continue. Indeed, Bolivia, Ecuador, and most notably Venezuela have seen shifts back toward greater state involvement in industry in the past few years, and foreign investment is now less welcome than it was during the 1990s. In these nations, the government has seized control of oil and gas fields from foreign investors and has limited the rights of foreign energy companies to extract oil and gas from their nations. Thus, as in the case of eastern Europe, substantial opportunities are accompanied by substantial risks.

GLOBAL ECONOMY OF THE TWENTY-FIRST CENTURY

The past quarter century has seen rapid changes in the global economy. Notwithstanding recent developments such as the higher tariffs introduced by the Trump administration in the United States (and left in place by the Biden administration), barriers to the free flow of goods, services, and capital have been coming down. As their economies advance, more nations are joining the ranks of the developed world. A generation ago, South Korea and Taiwan were viewed as second-tier developing nations. Now they boast large economies, and firms based there are major players in many global industries, from shipbuilding and steel to electronics, semiconductors, and chemicals. The move toward a global economy has been further strengthened by the widespread adoption of liberal economic policies by countries that had firmly opposed them for two generations or more. In short, the world has moved toward an economic system that is more favorable for international business.

But it is always hazardous to use established trends to predict the future. The world may be moving toward a more global economic system, but globalization is not inevitable. Countries may pull back from the recent commitment to liberal economic ideology if their experiences do not match their expectations—and some have. As noted earlier, clear signs exist of a retreat from liberal economic ideology in Russia and China. If such shifts were to become more permanent and widespread, the liberal vision of a more prosperous global economy based on free market principles might not occur as quickly as many hope. Clearly, this would be a tougher world for international businesses.

Also, greater globalization brings with it risks of its own. This was starkly demonstrated in 1997 and 1998, when a financial crisis in Thailand spread first to other East Asian nations and then to Russia and Brazil. Ultimately, the crisis threatened to plunge the economies of the developed world, including the United States, into a recession. We explore the causes and consequences of this and other similar global financial crises in Chapter 11. Even from a purely economic perspective, globalization is not all good. The opportunities for doing business in a global economy may be significantly enhanced, but as we saw in 1997–1998, the risks associated with global financial contagion are also greater. Indeed, during 2008–2009, a crisis that started in the financial sector of the United States, where banks had been too liberal in their lending policies to homeowners, swept around the world and plunged the global economy into its deepest recession since the early 1980s, illustrating once more that, in an interconnected world, a severe crisis in one region can affect the entire globe. Similarly, the spread of the COVID-19 pandemic around the world in 2020–2023 seriously disrupted global supply chains and called into question the wisdom of relying upon globally dispersed production systems. Still, as explained later in this text, firms can exploit the opportunities associated with globalization while reducing the risks through appropriate hedging strategies. These hedging strategies may also become more and more important as the world balances globalization efforts with a potential increase in nationalistic tendencies by some countries.

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The Globalization Debate

LO1-4

Explain the main arguments in the debate over the impact of globalization.

Is the shift toward a more integrated and interdependent global economy a good thing? Many influential economists, politicians, and business leaders seem to think so.[26] They argue that falling barriers to international trade and investment are the twin engines driving the global economy toward greater prosperity. They say increased international trade and cross-border investment will result in lower prices for goods and services. They believe that globalization stimulates economic growth, raises the incomes of consumers, and helps create jobs in all countries that participate in the global trading system. The arguments of those who support globalization are covered in detail in Chapters 6–8. As we shall see, there are good theoretical reasons for believing that declining barriers to international trade and investment do stimulate economic growth, create jobs, and raise income levels. Moreover, as described in Chapters 6–8, empirical evidence lends support to the predictions of this theory. However, despite the existence of a compelling body of evidence, globalization has its critics.[27] Some of these critics are vocal and active, taking to the streets to demonstrate their opposition to globalization. Other critics have gained political power in democratic societies, including Donald Trump in the United States, whose "America First" policies represented a sharp break from the rules-based multilateral international order that embodies institutions such as the World Trade Organization—an international institution that ironically was created under American leadership. Here, we look at the nature of protests against globalization and briefly review the main themes of the debate concerning the merits of globalization. In later chapters, we elaborate on many of these points.

ANTIGLOBALIZATION PROTESTS

Popular demonstrations against globalization date back to December 1999, when more than 40,000 protesters blocked the streets of Seattle in an attempt to shut down a World Trade Organization meeting being held in the city. The demonstrators were protesting against a wide range of issues, including job losses in industries under attack from foreign competitors, downward pressure on the wage rates of unskilled workers, environmental degradation, and the cultural imperialism of global media and multinational enterprises, which was seen as being dominated by what some protesters called the "culturally impoverished" interests and values of the United States. All of these ills, the demonstrators claimed, could be laid at the feet of globalization. The World Trade Organization was meeting to try to launch a new round of talks to further reduce barriers to cross-border trade and investment. As such, it was seen as a promoter of globalization and a target for the protesters. The protests turned violent, transforming the normally placid streets of Seattle into a running battle between "anarchists" and Seattle's bemused and poorly prepared police department. Pictures of brick-throwing protesters and armored police wielding their batons were duly recorded by the global media, which then circulated the images around the world. Meanwhile, the WTO meeting failed to reach an agreement, and although the protests outside the meeting halls had little to do with that failure, the impression took hold that the demonstrators had succeeded in derailing the meetings.

Emboldened by the experience in Seattle, antiglobalization protesters made a habit of turning up at major meetings of global institutions. Smaller-scale protests have periodically occurred in several countries, such as France, where antiglobalization activists destroyed a McDonald's restaurant in 1999 to protest the impoverishment of French culture by "American imperialism." While violent protests may give the antiglobalization effort a bad name, the scale of the demonstrations makes clear that support for the cause goes beyond a core of anarchists. Large segments of the population in many countries believe that globalization has detrimental effects on living standards, wage rates, and the environment. Indeed, the some of the support for Donald Trump in the 2016 U.S. election was based on his repeated assertions that trade deals had exported U.S. jobs overseas and created unemployment and low wages in America. Once he took office, Trump pursued policies that have pushed back against globalization in its current form (see the Country Focus feature).

COUNTRY FOCUS

Donald Trump's America First Policies and Their Aftermath

In 2016, Donald Trump won election as president of the United States on the back of a campaign that promised to put "America First." Throughout his campaign, Trump attacked globalization and global institutions, which he saw as a threat to America's national sovereignty.

Consistent with his campaign promises, Trump quickly pulled the United States out of the Trans-Pacific Partnership, a trade deal among 12 Pacific Rim nations that had been negotiated by his predecessor, Barack Obama. Trump initiated a renegotiation of the North American Free Trade Agreement (NAFTA) with the goal of making the trade area more favorable to American interests. He imposed tariff barriers on imports of steel and aluminum from other nations to protect American producers from what he saw as unfair foreign competition, citing "national security" as the rationale. He raised tariffs on imports from China, triggering a trade dispute between the two nations, while pushing for China to adopt trade and investment policies that would benefit what he saw as American interests.

Trump took other steps to push back against globalization. His administration retreated from UN organizations such as the International Criminal Court, the Human Rights Council, and a global compact on migration, arguing that these institutions were biased against America. Trump also pulled the United States out of the United Nations–sponsored Paris Agreement on climate change, arguing the targets for reducing emissions were not in American interests and that, contrary to what the vast majority of scientists said, climate change was a hoax. The Trump administration also worked to block appointments of new judges to the WTO arbitration panel—a tactic that significantly impeded the WTO's ability to resolve trade disputes.

In a speech to the UN general assembly in late 2018, Trump made his position quite clear. He stated, "We reject globalism and embrace the doctrine of patriotism . . . The U.S. will always choose independence and cooperation over global governance, control, and domination." It was a declaration of the supremacy of national sovereignty and the idea that all nations should embrace their own versions of his "America First" foreign policy approach. "We will no longer allow our workers to be victimized, our companies to be cheated, and our wealth to be plundered and transferred," Trump said, detailing his rationale to slap China with $200 billion in import tariffs, with a promise to implement additional tariffs should Beijing retaliate. "The United States will not be taken advantage of any longer."

This was strong stuff, and clearly it represented an existential attack on the process of globalization and the rules-based international order that supports it. In elevating attacks on globalization from street demonstrations to the Oval Office and putting them front and center in American foreign policy, there can be little doubt Trump raised the debate to a whole new level. Interestingly, while Trump lost the 2020 election, the Biden administration has kept many of his trade policies in place. As of 2023, the tariff barriers on imports from China remain in effect. In addition, the Biden administration has dragged its heels on appointing new judges to the WTO arbitration panel, weakening that institution.

Sources: K. Johnson, "How Trump May Finally Kill the WTO," *Foreign Policy,* December 9, 2019; W. J. Hennigan, "'We Reject Globalism,' President Trump Took 'America First' to the United Nations," *Time,* September 25, 2018; L. Elliot, "Globalization as We Know It Will Not Survive Trump. And That's a Good Thing," *The Guardian,* August 8, 2019; M. Cherkaoui, "Why Trump Remains Anti-Globalist Even Inside the United Nations," *Al Jazeera* Center for Studies, October 1, 2018.

Both theory and evidence suggest many of these fears are exaggerated. Most protests against globalization are tapping into a general sense of loss at the passing of a world in which barriers of time and distance, and significant differences in economic institutions, political institutions, and the level of development of different nations produced a world rich in the diversity of human cultures. However, while the rich citizens of the developed world may have the luxury of mourning the fact that they can now see McDonald's restaurants and Starbucks coffeehouses on their vacations to exotic locations such as Thailand, fewer complaints are heard from the citizens of those countries, who welcome the higher living standards that progress brings.

GLOBALIZATION, JOBS, AND INCOME

One concern frequently voiced by globalization opponents is that falling barriers to international trade destroy manufacturing jobs in wealthy advanced economies such as the United States and western Europe. Critics argue that falling trade barriers allow firms to move manufacturing activities to countries where wage rates are much lower.[28] Indeed, due to the entry of China, India, and countries from eastern Europe into the global trading system, along with global population growth, the pool of global labor has increased more than fivefold between 1990 and today. Other things being equal, we might conclude that this enormous expansion in the global labor force, when coupled with expanding international trade, would have depressed wages in developed nations.

This fear is often supported by anecdotes. For example, D. L. Bartlett and J. B. Steele, two journalists for the *Philadelphia Inquirer* who gained notoriety for their attacks on free trade, cite the case of Harwood Industries, a U.S. clothing manufacturer that closed its U.S. operations, where it paid workers $9 per hour, and shifted manufacturing to Honduras, where textile workers received 48 cents per hour.[29] Because of moves such as this, argue Bartlett and Steele, the wage rates of poorer Americans have fallen significantly over the past quarter of a century.

In the past few years, the same fears have been applied to services, which have increasingly been outsourced to nations with lower labor costs. The popular feeling is that when corporations such as Dell, IBM, or Citigroup outsource service activities to lower-cost foreign suppliers–as all three have done–they are "exporting jobs" to low-wage nations and contributing to higher unemployment and lower living standards in their home nations (in this case, the United States). Some U.S. lawmakers have responded by calling for legal barriers to job outsourcing.

Supporters of globalization reply that critics of these trends miss the essential point about free trade agreements–the benefits outweigh the costs.[30] They argue that free trade will result in countries specializing in the production of those goods and services that they can produce most efficiently, while importing goods and services that they cannot produce as efficiently. When a country embraces free trade, there is always some dislocation–lost textile jobs at Harwood Industries or lost call-center jobs at Dell–but the whole economy is better off as a result. According to this view, it makes little sense for the United States to produce textiles at home when they can be produced at a lower cost in Honduras or China. Importing textiles from China leads to lower prices for clothes in the United States, which enables consumers to spend more of their money on other items. At the same time, the increased income generated in China from textile exports increases income levels in that country, which helps the Chinese purchase more products produced in the United States, such as pharmaceuticals from Amgen, Boeing jets, microprocessors made by Intel, Microsoft software, and Cisco routers.

The same argument can be made to support the outsourcing of services to low-wage countries. By outsourcing its customer service call centers to India, Dell can reduce its cost structure and thereby its prices for computers. U.S. consumers benefit from this development. As prices for computers fall, Americans can spend more of their money on other goods and services. Moreover, the increase in income levels in India allows Indians to purchase more U.S. goods and services, which helps create jobs in the United States. In this manner, supporters of globalization argue that free trade benefits *all* countries that adhere to a free-trade regime.

If the critics of globalization are correct, three things must be shown. First, the share of national income received by labor, as opposed to the share received by the owners of capital (e.g., stockholders and bondholders), should have declined in advanced nations as a result of downward pressure on wage rates. Second, even though labor's share of the economic pie may have declined, this does not mean lower living standards if the size of the total pie has increased sufficiently to offset the decline in labor's share–in other words, if economic growth and rising living standards in advanced economies have offset declines in labor's share (this is the position argued by supporters of globalization). Third, the decline in labor's share of national income must be due to moving production to low-wage countries, as opposed to improvement in production technology and productivity.

Several studies shed light on these issues.[31] First, the data suggest that over the past few decades, the share of labor in national income has declined. However, detailed analysis suggests the share of national income enjoyed by *skilled labor* has actually *increased,* suggesting that the fall in labor's share has been due to a fall in the share taken by *unskilled labor.* A study by the IMF suggested the earnings gap between workers in skilled and unskilled sectors has widened by 25 percent over the past two decades.[32] Another study that focused on U.S. data found that exposure to competition from imports led to a decline in real wages for workers who performed *unskilled* tasks while having no discernible impact on wages in skilled occupations. The same study found that skilled and unskilled workers in sectors where exports grew saw an increase in their real wages.[33] These figures suggest that *unskilled labor* in sectors that have been exposed to more efficient foreign competition probably has seen its share of national income decline over the past three decades.

However, this does not mean that the *living standards* of unskilled workers in developed nations have declined. It is possible that economic growth in developed nations has offset the fall in the share of national income enjoyed by unskilled workers, raising their living standards. Evidence suggests that real labor compensation has expanded in most developed nations since the 1980s, including the United States. Several studies by the Organisation for Economic Co-operation and Development (OECD), whose members include the 34 richest economies in the world, conclude that while the gap between the poorest and richest segments of society in OECD countries has widened, in *most* countries real income levels have increased for all, including the poorest segment. In one study, the OECD found that real household income (adjusted for inflation) increased by 1.7 percent annually among its member states. The real income level of the poorest 10 percent of the population increased at 1.4 percent on average, while that of the richest 10 percent increased by 2 percent annually (i.e., while everyone got richer, the gap between the most affluent and the poorest sectors of society widened). The differential in growth rates was more extreme in the United States than most other countries. The study found that the real income of the poorest 10 percent of the population grew by just 0.5 percent a year in the United States, while that of the richest 10 percent grew by 1.9 percent annually.[34]

As noted earlier, globalization critics argue that the decline in unskilled wage rates is due to the migration of low-wage manufacturing jobs offshore and a corresponding reduction in demand for unskilled workers. However, supporters of globalization see a more complex picture. They maintain that the weak growth rate in real wage rates for unskilled workers owes far more to a technology-induced shift within advanced economies away from jobs where the only qualification was a willingness to turn up for work every day and toward jobs that require significant education and skills. They point out that many advanced economies report a shortage of highly skilled workers and an excess supply of unskilled workers. Thus, growing income inequality is a result of the wages for skilled workers being bid up by the labor market and the wages for unskilled workers being discounted. In fact, evidence suggests that technological change has had a bigger impact than globalization on the declining share of national income enjoyed by labor.[35] This suggests that a solution to the problem of slow real income growth among the unskilled is to be found not in limiting free trade and globalization but in increasing society's investment in education to reduce the supply of unskilled workers.[36]

Finally, it is worth noting that the wage gap between developing and developed nations is closing as developing nations experience rapid economic growth. For example, one estimate suggests that wages in China will approach Western levels in two decades.[37] To the extent that this is the case, any migration of unskilled jobs to low-wage countries is a temporary phenomenon representing a structural adjustment on the way to a more tightly integrated global economy.

GLOBALIZATION, LABOR POLICIES, AND THE ENVIRONMENT

A second source of concern is that free trade encourages firms from advanced nations to move manufacturing facilities to less-developed countries that lack adequate regulations to protect labor and the environment from abuse by the unscrupulous.[38] Globalization critics often argue that adhering to labor and environmental regulations significantly increases the costs of manufacturing enterprises and puts them at a competitive disadvantage in the global marketplace vis-à-vis firms based in developing nations that do not have to comply with such regulations. Firms deal with this cost disadvantage, the theory goes, by moving their production facilities to nations that do not have such burdensome regulations or that fail to enforce the regulations they have.

If this were the case, we might expect free trade to lead to an increase in pollution and result in firms from advanced nations exploiting the labor of less-developed nations.[39] This argument was made by those who opposed the 1994 formation of the North American Free Trade Agreement (NAFTA) among Canada, Mexico, and the United States. They painted a picture of U.S. manufacturing firms moving to Mexico so that they would be free to pollute the environment, employ child labor, and ignore workplace safety and health issues, all in the name of higher profits.[40]

Supporters of free trade and greater globalization express doubts about this scenario. They argue that tougher environmental regulations and stricter labor standards go hand in hand with economic progress.[41] In general, as countries get richer, they enact tougher environmental and labor regulations.[42] Because free trade enables developing countries to increase their economic growth rates and become richer, this should lead to tougher environmental and labor laws. In this view, the critics of free trade have got it backward: Free trade does not lead to more pollution and labor exploitation; it leads to less. By creating wealth and incentives for enterprises to produce technological innovations, the free market system and free trade could make it easier for the world to cope with pollution and population growth. Indeed, while pollution levels are rising in the world's poorer countries, they have been falling in developed nations. In the United States, for example, the concentration of carbon monoxide and sulfur dioxide pollutants in the atmosphere has decreased by 60 percent since 1978, while lead concentrations have decreased by 98 percent—and these reductions have occurred against a background of sustained economic expansion.[43]

A number of econometric studies have found consistent evidence of a hump-shaped relationship between income levels and pollution levels (see Figure 1.5).[44] As an economy grows and income levels rise, initially pollution levels also rise. However, past some point, rising income levels lead to demands for greater environmental protection, and pollution levels then fall. A seminal study by Grossman and Krueger found that the turning point generally occurred before per capita income levels reached $8,000.[45]

While the hump-shaped relationship depicted in Figure 1.5 seems to hold across a wide range of pollutants—from sulfur dioxide to lead concentrations and water quality—carbon dioxide emissions are an important exception, rising steadily with higher-income levels. Given that carbon dioxide is a heat-trapping gas and given that there is good evidence that increased atmospheric carbon dioxide concentrations are a cause of global warming, this should be of serious concern. The solution to the problem, however, is probably not to roll back the trade liberalization efforts that have fostered economic growth and globalization, and raised living standards worldwide, but to get the nations of the world to agree to policies designed to limit carbon emissions. In the view of most economists, the most effective way to do this would be to put a price on carbon-intensive energy generation through a carbon tax. To ensure that this tax does not harm economic growth, economists argue that it should be revenue neutral, with increases in carbon taxes offset by reductions in income or consumption taxes.[46]

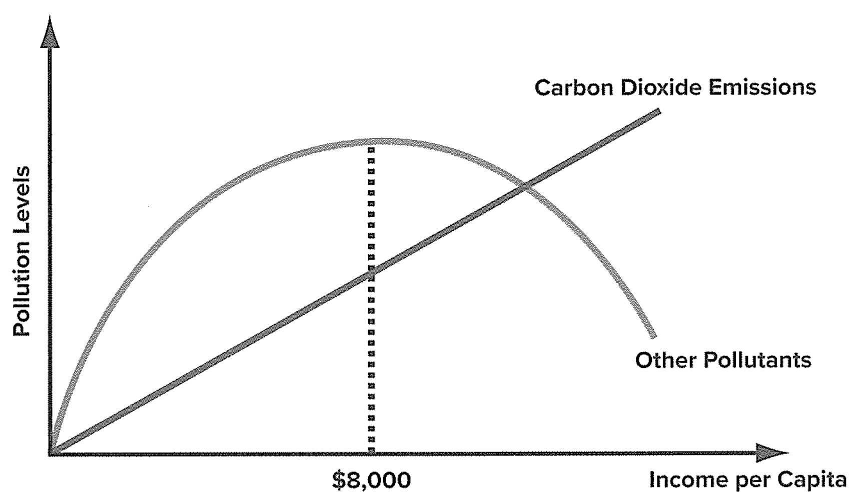

FIGURE 1.5 Income levels and environmental pollution.

Source: C. W. L. Hill and G. T. M. Hult, *Global Business Today* (New York: McGraw-Hill Education, 2018).

Although UN-sponsored talks have had reduction in carbon dioxide emissions as a central aim since the 1992 Earth Summit in Rio de Janeiro, until recently there has been little success in moving toward the ambitious goals for reducing carbon emissions laid down in the Earth Summit and subsequent talks in Kyoto, Japan, in 1997, Copenhagen in 2009, and Paris in 2015, for example. In part, this is because the largest emitters of carbon dioxide, the United States and China, failed to reach agreements about how to proceed. China, a country whose carbon emissions are increasing at a rapid rate, has until recently shown little appetite for tighter pollution controls. As for the United States, political divisions in Congress and a culture of denial have made it difficult for the country to even acknowledge, never mind move forward with, legislation designed to tackle climate change. In late 2014, the United States and China did strike a deal under which both countries agreed to potentially significant reductions in carbon emissions. This was followed by a broadly based multilateral agreement reached in Paris in 2015 that committed the nations of the world to ambitious goals for reducing CO_2 emissions and limiting future increases in global temperatures. President Donald Trump pulled the United States out of the Paris Accord in 2017. Trump, who disputed the theory and evidence that rising CO_2 levels are causing climate change, argued that the Paris Accord disadvantaged the United States to the exclusive benefits of other countries. Without the participation of the United States, it is difficult to see the world making significant progress on this issue. Due to executive action taken by Trump's successor, President Joe Biden, the United States rejoined the Paris Accord in early 2021.

Many supporters of free trade point out that it is possible to tie free trade agreements to the implementation of tougher environmental and labor laws in less-developed countries. NAFTA, for example, was passed only after side agreements had been negotiated that committed Mexico to tougher enforcement of environmental protection regulations. Thus, supporters of free trade argue that factories based in Mexico are now cleaner than they would have been without the passage of NAFTA.[47]

They also argue that business firms are not the amoral organizations that critics suggest. While there may be some rotten apples, most business enterprises are staffed by managers who are committed to behaving in an ethical manner and would be unlikely to move production offshore just so they could pump more pollution into the atmosphere or exploit labor. Furthermore, the relationship between pollution, labor exploitation, and production costs may not be that suggested by critics. In general, they argue, a well-treated labor force is productive, and it is productivity rather than base wage rates that often has the greatest influence on costs. Advocates of free trade dispute the vision of greedy managers who shift production to low-wage countries to exploit their labor force.

GLOBALIZATION AND NATIONAL SOVEREIGNTY

Another concern voiced by critics of globalization is that today's increasingly interdependent global economy shifts economic power away from national governments and toward supranational organizations such as the World Trade Organization, the European Union, and the United Nations. This has been the core of the argument made by Donald Trump, and it underpinned his America First foreign policy (see the Country Focus feature). As perceived by critics, unelected bureaucrats now impose policies on the democratically elected governments of nation-states, thereby undermining the sovereignty of those states and limiting the nation's ability to control its own destiny.[48]

The World Trade Organization is a favorite target of those who attack the headlong rush toward a global economy. As noted earlier, the WTO was founded in 1995 to police the world trading system established by the General Agreement on Tariffs and Trade. The WTO arbitrates trade disputes among its 164 member states. The arbitration panel can issue a ruling instructing a member state to change trade policies that violate GATT regulations. If the violator refuses to comply with the ruling, the WTO allows other states to impose appropriate trade sanctions on the transgressor. As a result, according to one prominent critic, U.S. environmentalist, consumer rights advocate, and sometime presidential candidate Ralph Nader:

> Under the new system, many decisions that affect billions of people are no longer made by local or national governments but instead, if challenged by any WTO member nation, would be deferred to a group of unelected bureaucrats sitting behind closed doors in Geneva (which is where the headquarters of the WTO are located). The bureaucrats can decide whether or not people in California can prevent the destruction of the last virgin

> forests or determine if carcinogenic pesticides can be banned from their foods; or whether European countries have the right to ban dangerous biotech hormones in meat . . . . At risk is the very basis of democracy and accountable decision making.[49]

In contrast to Nader, many economists and politicians maintain that the power of supranational organizations such as the WTO is limited to what nation-states collectively agree to grant. They argue that bodies such as the United Nations and the WTO exist to serve the collective interests of member states, not to subvert those interests. Supporters of supranational organizations point out that the power of these bodies rests largely on their ability to persuade member states to follow a certain action. If these bodies fail to serve the collective interests of member states, those states will withdraw their support and the supranational organization will quickly collapse. In this view, real power still resides with individual nation-states, not supranational organizations.

GLOBALIZATION AND THE WORLD'S POOR

Critics of globalization argue that despite the supposed benefits associated with free trade and investment, over the past 100 years or so the gap between the rich and poor nations of the world has gotten wider. In 1870, the average income per capita in the world's 17 richest nations was 2.4 times that of all other countries. In 1990, the same group was 4.5 times as rich as the rest. In 2021, the 34 member states of the Organisation for Economic Co-operation and Development (OECD), which includes most of the world's rich economies, had an average gross national income (GNI) per person of $42,360, whereas the world's 40 least developed countries had a GNI of $1,132 per capita—implying that income per capita in the world's 34 richest nations was roughly 40 times that in the world's 40 poorest.[50]

While recent history has shown that some of the world's poorer nations are capable of rapid periods of economic growth—witness the transformation that has occurred in some Southeast Asian nations such as South Korea, Thailand, and Malaysia—strong forces for stagnation appear to exist among the world's poorest nations. A quarter of the countries with a GDP per capita of less than $1,000 in 1960 had growth rates of less than zero, and a third had growth rates of less than 0.05 percent.[51] Critics argue that if globalization is such a positive development, this divergence between the rich and poor should not have occurred.

Although the reasons for economic stagnation vary, several factors stand out, none of which has anything to do with free trade or globalization.[52] Many of the world's poorest countries have suffered from totalitarian governments, economic policies that destroyed wealth rather than facilitated its creation, endemic corruption, scant protection for property rights, and prolonged civil war. A combination of such factors helps explain why countries such as Afghanistan, Cuba, Haiti, Iraq, Libya, Sudan, Syria, North Korea, and Zimbabwe have failed to improve the economic lot of their citizens during recent decades. A complicating factor is the rapidly expanding populations in many of these countries. Without a major change in government, population growth may exacerbate their problems. Promoters of free trade argue that the best way for these countries to improve their lot is to lower their barriers to free trade and investment and to implement economic policies based on free market economics.[53]

In addition, many of the world's poorer nations are being held back by large debt burdens. Of particular concern are the 40 or so "highly indebted poorer countries" (HIPCs), which are home to some 700 million people. Among these countries, the average government debt burden has been as high as 85 percent of the value of the economy, as measured by gross domestic product, and the annual costs of serving government debt have consumed 15 percent of the country's export earnings.[54] Servicing such a heavy debt load leaves the governments of these countries with little left to invest in important public infrastructure projects, such as education, health care, roads, and power. The result is the HIPCs are trapped in a cycle of poverty and debt that inhibits economic development. Free trade alone, some argue, is a necessary but not sufficient prerequisite to help these countries pull themselves out of poverty. Instead, large-scale debt relief is needed for the world's poorest nations to give them the opportunity to restructure their economies and start the long climb toward prosperity. Supporters of debt relief also argue that new democratic governments in poor nations should not be forced to honor debts that were incurred and mismanaged long ago by their corrupt and dictatorial predecessors.

In the late 1990s, a debt relief movement began to gain ground among the political establishment in the world's richer nations. Fueled by high-profile endorsements from Irish rock star

Bono (who has been a tireless and increasingly effective advocate for debt relief), the Dalai Lama, and influential Harvard economist Jeffrey Sachs, the debt relief movement was instrumental in persuading the United States to enact legislation in 2000 that provided $435 million in debt relief for HIPCs. More important perhaps, the United States also backed an IMF plan to sell some of its gold reserves and use the proceeds to help with debt relief. Unfortunately, the beneficial impact of these efforts was only temporary. By 2021, the external debt stocks of developing nations reached $11.1 trillion, the highest level on record, more than twice the $4.1 trillion recorded in 2009, and a fivefold increase from 2000. For debt reduction programs to have a lasting effect, debt relief must be matched by wise investment in public projects that boost economic growth (such as education) and by the adoption of economic policies that facilitate investment and trade. This does not seem to have occurred in many of the world's poorest nations.[55]

Economists argue that the richest nations of the world can help by reducing barriers to the importation of products from the world's poorest nations, particularly tariffs on imports of agricultural products and textiles. High-tariff barriers and other impediments to trade make it difficult for poor countries to export more of their agricultural production. The World Trade Organization has estimated that if the developed nations of the world eradicated subsidies to their agricultural producers and removed tariff barriers to trade in agriculture, this would raise global economic welfare by $128 billion, with $30 billion of that going to poor nations, many of which are highly indebted. The faster growth associated with expanded trade in agriculture could significantly reduce the number of people living in poverty according to the WTO.[56]

Despite the large gap between rich and poor nations, evidence of significant progress exists. According to data from the World Bank, the percentage of the world's population living in poverty has declined substantially over the last three decades (see Figure 1.6). In 1982, 57.9 percent of the world's population lived in extreme poverty, classified as living on less than $3.65 a day, and 68.4 percent lived on less than $6.85 per day (these numbers are calculated at 2017 prices). By 2019, these figures were 23.5 percent and 46.7 percent, respectively. Put differently, between 1982 and 2019, the number of people living in extreme poverty fell from 2.85 billion to 1.81 billion, despite the fact that the world's population increased by around 2.7 billion over the same period. The world is getting better, and many economists would argue that globalization, and the opportunities it offers to the world's poorer nations to improve their lot, has much to do with this. On the other hand, by 2019 there were still 3.6 billion people living on less than $6.85 a day, which suggests the goal of eliminating poverty is still a considerable way off.

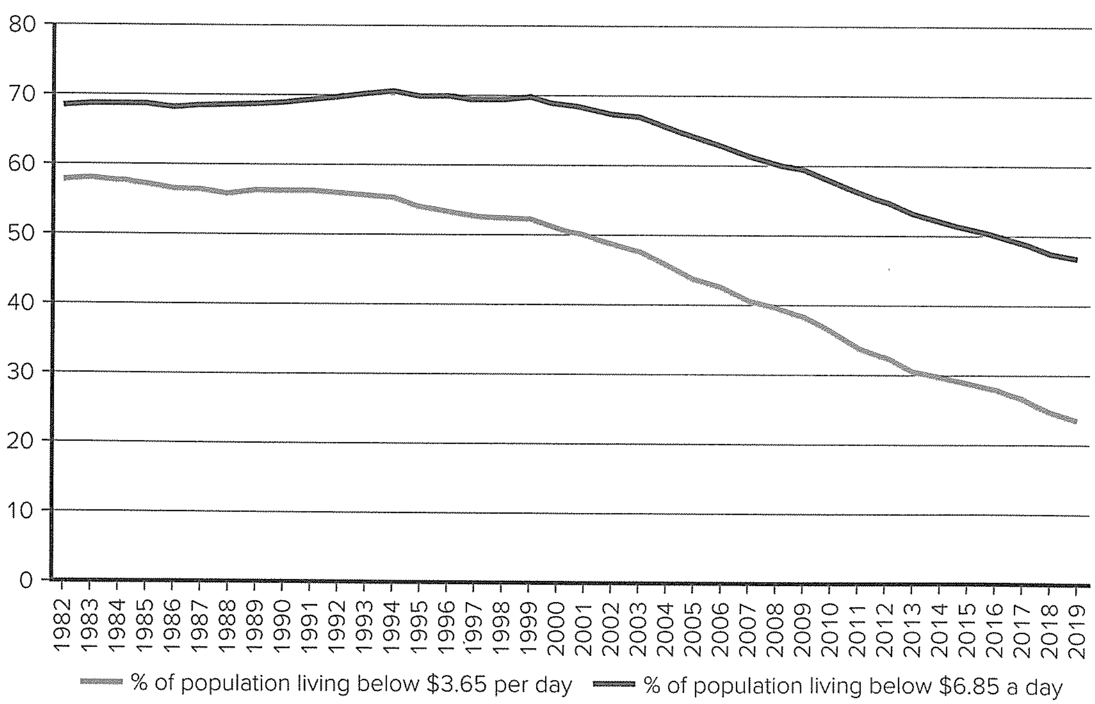

FIGURE 1.6 Percentage of global population living in poverty during 1982–2019.

Source: World Bank Database on Poverty and Equity, World Development Indicators, 2023.

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Managing in the Global Marketplace

LO1-5

Understand how the process of globalization is creating opportunities and challenges for management practice.

Much of this text is concerned with the challenges of managing an international business. An **international business** is any firm that engages in international trade or investment. A firm does not have to become a multinational enterprise, investing directly in operations in other countries, to engage in international business, although multinational enterprises are international businesses. All a firm has to do is export products to or import products from other countries. As the world shifts toward a truly integrated global economy, more firms—both large and small—are becoming international businesses. So, what does this shift toward a global economy mean for managers within an international business?

international business Any firm that engages in international trade or investment.

As their organizations increasingly engage in cross-border trade and investment, managers need to recognize that the task of managing an international business differs in many ways from that of managing a purely domestic business. At the most fundamental level, the differences arise from the simple fact that countries are different. Countries differ in their cultures, political systems, economic systems, legal systems, and levels of economic development. Despite all the talk about the emerging global village, and despite the trend toward globalization of markets and production, as we shall see in this text, many of these differences are very profound and enduring.

Differences among countries require that an international business vary its practices country by country. Marketing a product in Brazil may require a different approach from marketing the same product in Germany; managing U.S. workers might require different skills from managing Japanese workers; maintaining close relations with a particular level of government may be very important in Mexico and irrelevant in Great Britain; a business strategy pursued in Canada might not work in South Korea; and so on. Managers in an international business must not only be sensitive to these differences but also adopt the appropriate policies and strategies for coping with them. Much of this text is devoted to explaining the sources of these differences and the methods for successfully coping with them.

A further way in which international business differs from domestic business is the greater complexity of managing an international business. In addition to the problems that arise from the differences between countries, a manager in an international business is confronted with a range of other issues that the manager in a domestic business never confronts. The managers of an international business must decide where in the world to site production activities to minimize costs and maximize value added. They must decide whether it is ethical to adhere to the lower labor and environmental standards found in many less-developed nations. Then, they must decide how best to coordinate and control globally dispersed production activities (which, as we shall see later in the text, is not a trivial problem). The managers in an international business also must decide which foreign markets to enter and which to avoid. They must choose the appropriate mode for entering a particular foreign country. Is it best to export its product to the foreign country? Should the firm allow a local company to produce its product under license in that country? Should the firm enter into a joint venture with a local firm to produce its product in that country? Or should the firm set up a wholly owned subsidiary to serve the market in that country? As we shall see, the choice of entry mode is critical because it has major implications for the long-term health of the firm.

Conducting business transactions across national borders requires understanding the rules governing the international trading and investment system. Managers in an international business must also deal with government restrictions on international trade and investment. They must find ways to work within the limits imposed by specific governmental interventions. As this text explains, even though many governments are nominally committed to free trade, they often intervene to regulate cross-border trade and investment. Managers within international businesses must develop strategies and policies for dealing with such interventions.

Cross-border transactions also require that money be converted from the firm's home currency into a foreign currency, and vice versa. Because currency exchange rates vary in response to changing economic conditions, managers in an international business must develop policies for dealing with exchange rate movements. A firm that adopts the wrong policy can lose large amounts of money, whereas one that adopts the right policy can increase the profitability of its international transactions.

In addition, it should be noted that businesses that depend upon international trade face risks from low-probability "Black Swan" events that can have a large negative consequence. These include risks associated with disruptions arising from unforeseen military conflicts (such as Russia's 2022 invasion of Ukraine), terrorist actions (such as the September 11, 2001, attacks on the United States), or the spread of novel viruses. On the last point, in 2003, a coronavirus known as the SARS virus appeared in China and spread to about 30 other countries. It ultimately infected around 8,000 people and killed 774. At the time, SARS caused disruptions in international supply chains, forcing some companies that depended upon just-in-time inventory shipments from overseas to scramble for alternatives.

In late 2019, another coronavirus, COVID-19, appeared in China. It was less deadly but more infectious than the 2003 SARS virus. In an attempt to contain COVID-19, the Chinese government imposed a quarantine on the province of Hubei where the virus first emerged and extended national holidays throughout China. The impacts included a sharp slowdown in the Chinese economy (the second largest in the world) and significant supply chain disruptions. This forced many firms outside China that relied on China for sales or depended on Chinese factories for component parts or finished products to announce that they would not hit their prior revenue forecasts. Between 2020 and 2022, the virus spread rapidly around the world. This caused millions of deaths, triggered significant economic disruption, and affected the flow of trade across borders. By early 2023, the COVID pandemic appeared to be waning as a combination of vaccinations and prior infections reduced both case numbers and the severity of infection. Ironically, China, which had successfully contained the virus for two years by instituting widespread lockdowns, experienced a dramatic surge in infections as it abandoned its zero-COVID policy and tried to open up, which caused additional supply chain disruptions.

In sum, managing an international business is different from managing a purely domestic business for at least four reasons: (1) countries are different, (2) the range of problems confronted by a manager in an international business is wider and the problems themselves more complex than those confronted by a manager in a domestic business, (3) an international business must find ways to work within the limits imposed by government intervention in the international trade and investment system, and (4) international transactions involve converting money into different currencies.

In this text, we examine all these issues in depth, paying close attention to the different strategies and policies that managers pursue to deal with the various challenges created when a firm becomes an international business. Chapters 2–4 explore how countries differ from each other with regard to their political, economic, legal, and cultural institutions. Chapter 5 takes a detailed look at the ethical issues, corporate social responsibility, and sustainability issues that arise in international business. Chapters 6–9 look at the global trade and investment environment within which international businesses must operate. Chapters 10–12 review the global monetary system. These chapters focus on the nature of the foreign exchange market and the emerging global monetary system. Chapters 13 and 14 explore the strategy, organization, and market entry choices of an international business. Chapters 15-17 look at the management of various functional operations within an international business, including exporting, importing, countertrade, production, supply chain management, marketing, R&D, finance, and human resources. By the time you complete this text, you should have a good grasp of the issues that managers working in international business have to grapple with on a daily basis, and you should be familiar with the range of strategies and operating policies available to compete more effectively in today's rapidly emerging global economy.

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Key Terms

globalization, p. 5
globalization of markets, p. 5
globalization of production, p. 6
factors of production, p. 6
General Agreement on Tariffs and Trade (GATT), p. 8
World Trade Organization (WTO), p. 9
International Monetary Fund (IMF), p. 9
World Bank, p. 9
United Nations (UN), p. 9
Group of Twenty (G20), p. 9
international trade, p. 10
foreign direct investment (FDI), p. 10
Moore's law, p. 13
outward stock of foreign direct investment (FDI), p. 17
multinational enterprise (MNE), p. 18
international business, p. 31

Summary

This chapter has shown how the world economy is becoming more global. It reviewed the main drivers of globalization, arguing that they seem to be thrusting nation-states toward a more tightly integrated global economy, and looked at how the nature of international business is changing in response to the changing global economy. It also discussed concerns raised by rapid globalization and reviewed the implications of rapid globalization for individual managers. The chapter made the following points:

1. Over the past three decades, we have witnessed the globalization of markets and production.
2. The globalization of markets implies that national markets are merging into one huge marketplace. However, it is important not to push this view too far.
3. The globalization of production implies that firms are basing individual productive activities at the optimal world locations for their particular activities. As a consequence, it is increasingly irrelevant to talk about American products, Japanese products, or German products because these are being replaced by "global" products. Or, in some cases, they are simply replaced by products made by specific companies, such as Apple, Sony, or Microsoft.
4. Two factors seem to underlie the trend toward globalization: declining trade barriers and changes in communication, information, and transportation technologies.
5. Since the end of World War II, barriers to the free flow of goods, services, and capital have been lowered significantly. More than anything else, this has facilitated the trend toward the globalization of production and has enabled firms to view the world as a single market.
6. As a consequence of the globalization of production and markets, in the last decade, world trade has grown faster than world output, foreign direct investment has surged, imports have penetrated more deeply into the world's industrial nations, and competitive pressures have increased in industry after industry.
7. The development of the microprocessor and related developments in communication and information processing technology have helped firms link their worldwide operations into sophisticated information networks. The introduction of containers and jet travel have also contributed toward globalization. These changes have enabled firms to achieve tight coordination of their worldwide operations and to view the world as a single market.

8. In the 1960s, the U.S. economy was dominant in the world, U.S. firms accounted for most of the foreign direct investment in the world economy, U.S. firms dominated the list of large multinationals, and roughly half the world–the centrally planned economies of the communist world–was closed to Western businesses.
9. By the 2030s, the U.S. share of world output will most likely have been cut in half relative to its share in the 1970s, with major gains being accounted for by rapidly developing Asian economies (particularly China and India). The U.S. share of worldwide foreign direct investment will also have fallen by about two-thirds over the same time period. Increasingly, U.S. multinationals are facing competition from a large number of multinationals from developing nations.
10. One of the most dramatic developments of the past 35 years has been the collapse of communism in eastern Europe, which has created enormous opportunities for international businesses. In addition, the move toward free market economies in China and Latin America is creating opportunities (and threats) for Western international businesses.
11. The benefits and costs of the emerging global economy are being hotly debated among businesspeople, economists, and politicians. The debate focuses on the impact of globalization on jobs, wages, the environment, working conditions, national sovereignty, and extreme poverty in the world's poorest nations.
12. Managing an international business is different from managing a domestic business for at least four reasons: (1) countries are different, (2) the range of problems confronted by a manager in an international business is wider and the problems themselves are more complex than those confronted by a manager in a domestic business, (3) managers in an international business must find ways to work within the limits imposed by governments' intervention in the international trade and investment system, and (4) international transactions involve converting money into different currencies and managing the risks associated with volatile currency exchange rates.

Critical Thinking and Discussion Questions

1. Describe the shifts in the world economy over the past 30 years. What are the implications of these shifts for international businesses based in the United Kingdom? North America? Hong Kong?
2. "The study of international business is fine if you are going to work in a large multinational enterprise, but it has no relevance for individuals who are going to work in small firms." Evaluate this statement.
3. How have changes in technology contributed to the globalization of markets and production? Would the globalization of production and markets have been possible without these technological changes?
4. "Ultimately, the study of international business is no different from the study of domestic business. Thus, there is no point in having a separate course on international business." Evaluate this statement.
5. How does the Internet affect international business activity and the globalization of the world economy?
6. If current trends continue, China may be the world's largest economy by 2030. Discuss the possible implications of such a development for
   a. the world trading system.
   b. the world monetary system.
   c. the business strategy of today's European and U.S.-based global corporations.
   d. global commodity prices.
7. Reread the Management Focus, "Boeing's Global Production System," and answer the following questions:
   a. What are the benefits to Boeing of outsourcing manufacturing of components of the Boeing 787 to firms based in other countries?
   b. What are the potential costs and risks to Boeing of outsourcing?
   c. In addition to foreign subcontractors and Boeing, who else benefits from Boeing's decision to outsource component part manufacturing assembly to other nations? Who are the potential losers?
   d. If Boeing's management decided to keep all production in America, what do you think the effect would be on the company, its employees, and the communities that depend on it?
   e. On balance, do you think that the kind of outsourcing undertaken by Boeing is a good thing or a bad thing for the American economy? Explain your reasoning.

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Use the globalEDGE™ website (**globaledge.msu.edu**) to complete the following exercises:

1. As the drivers of globalization continue to pressure both the globalization of markets and the globalization of production, we continue to see the impact of greater globalization on worldwide trade patterns. HSBC, a large global bank, analyzes these pressures and trends to identify opportunities across markets and sectors

through its *trade forecasts*. Visit the HSBC Global Connections site and use the trade forecast tool to identify which export routes are forecast to see the greatest growth over the next 15–20 years. What patterns do you see? What types of countries dominate these routes?

2. You are working for a company that is considering investing in a foreign country. Investing in countries with different traditions is an important element of your company's long-term strategic goals. Management has requested a report regarding the attractiveness of alternative countries based on the potential return of FDI. Accordingly, the ranking of the top 25 countries in terms of FDI attractiveness is a crucial ingredient for your report. A colleague mentioned a potentially useful tool called the Foreign Direct Investment (FDI) Confidence Index. The FDI Confidence Index is a regular survey of global executives conducted by A.T. Kearney. Find this index and provide additional information regarding how the index is constructed.

CLOSING CASE

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TruckLabs

In 2015, Daniel Burrows started TruckLabs in a garage. He was still in graduate school, getting his MBA from Stanford University, so his funds were limited. Burrows's idea was to develop vertical panels that would automatically activate at highway speeds, sealing the gap between the truck cab and the trailer. This invention would significantly improve truck aerodynamics and save fuel costs. The product, named TruckWings, soon garnered interest from trucking companies. However, Burrows was faced with another problem: Where should he source the various component parts from?

Like many companies over the last four decades, TruckLabs decided to set up manufacturing operations in Asia hoping to minimize costs. Aluminum mounts were made in Taiwan. Pneumatic airflow systems, electronics, and wire harnesses were manufactured in China. Much of the decision on where to locate these various activities was driven by lower labor costs. In addition, TruckLabs and its U.S. suppliers struggled to find good manufacturing technicians in the United States. The U.S. unemployment rate was very low, and the necessary supply of skilled labor wasn't there. Thus, the plan to outsource this manufacturing to other nations where skilled labor was in more abundant supply made sense. Low tariffs on goods traded among the United States, China, and Taiwan, along with efficient shipping, also made the outsourcing decision logical.

At the same time, TruckLabs kept some key operations in Silicon Valley in the United States. These included advanced research, software, firmware, and cybersecurity. These activities were core to TruckLabs' competitive advantage. The company did not want to give away any advantage it might have by outsourcing them. Moreover, the requisite skilled labor for these activities, such as software engineers, was available in Silicon Valley. Marketing and sales were also located in the United States.

By configuring its value creation activities in this manner, TruckLabs was following a well-worn path many companies had taken in recent decades as globalization accelerated. Encouraged by lower barriers to cross-border trade and investment, fast communications, and efficient transoceanic transportation systems, large numbers of enterprises have outsourced many of their value creation activities to locations around the world where they could be performed more efficiently and effectively. This outsourcing lowers costs and helps companies compete in the highly competitive global marketplace.

In 2017, a significant shift occurred in the business environment. Donald Trump had been elected president of the United States. Following through on his campaign promises to bring manufacturing jobs back to the United States, Trump imposed a 25 percent tariff on many imports from China, raising their cost. However, things had begun to shift even before Trump's election; labor costs in China had been rising as the country continued its rapid economic development, meaning that the cost advantage of producing in China was already diminishing prior to 2017. Trump's tariff brought this into sharper focus. As Burrows noted, "Tariffs made it very hard to operate and did a lot of damage. We didn't have the margin to suddenly spend 25 percent more."

TruckLabs responded by starting to move production back to the United States. Burrows initially considered shifting production to other countries with low-cost labor, such as Bangladesh and Vietnam, but he realized that deciding where to produce and assemble the panels was more important than reduced labor costs. Materials costs, shipping costs, operational complexities, the skills of local labor, and the risks of business disruption also factored into his decision. Moreover, because most of TruckLabs' customers were in North America, Burrows reasoned that bringing production back to the United States would save time and money in shipping and clearing parts through customs, and it would enable TruckLabs to respond more quickly to customer demands.

When the COVID-19 pandemic hit in early 2020, and supply chains faltered as nations entered lockdown, the value of moving production back home increased. By late 2020, TruckLabs had moved 60 percent of its overseas production back to the United States. The company now works with parts suppliers in Ohio, Pennsylvania, and Arizona, and it assembles many of its TruckWings units at a factory in North Carolina. According to Burrows, reshoring some activities lowered costs for component parts by 10 to 20 percent and reduced lead times from eight weeks to four weeks, which enabled the company to fulfill customer orders more rapidly. The advantages come not just from avoiding tariffs on imports, but also from greater automation among the company's U.S. suppliers, which offsets the somewhat high labor costs of American workers. All this being said, whether these advantages will persist if the import tariffs imposed by Trump are at some point lowered by a new White House administration remains to be seen.

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Case Discussion Questions

1. What was the logic behind Burrows's original decisions to (a) outsource production for TruckWings components to Taiwan and China and (b) keep research and software functions in the United States? Did this distribution of different activities make sense in the world that existed prior to 2017? What were the benefits, and what were the costs and risks of these decisions?
2. How did the imposition of a 25 percent tariff on imports from China by the Trump administration affect TruckLabs? Who benefited from this decision? Who lost out? Can you see any potential unintended consequences of these tariffs?
3. In the long run, do you think that bringing production back to the United States is a plus for TruckLabs, or will it become a liability if global conditions return to the pre-2017 norm?
4. What does this case teach you about the benefits, costs and risks associated with outsourcing value creation activities to different locations around the world?

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